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TITLE 7—AGRICULTURE

Chapter IX—Agricultural Marketing Service (Marketing Agreements and Orders), Department of Agriculture

[Navel Orange Reg. 24]

PART 914—NAVEL ORANGES GROWN IN ARIZONA AND DESIGNATED PART OF CALIFORNIA

LIMITATION OF HANDLING

§ 914.324 *Navel Orange Regulation 24*—(a) *Findings.* (1) Pursuant to the marketing agreement and Order No. 14 (18 F. R. 5638), regulating the handling of navel oranges grown in Arizona and designated part of California, effective September 22, 1953, under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and upon the basis of the recommendation and information submitted by the Navel Orange Administrative Committee, established under the said marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such navel oranges, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this section until 30 days after publication thereof in the FEDERAL REGISTER (60 Stat. 237; 5 U. S. C. 1001 et seq.) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient, and a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions of this section effective as hereinafter set forth. The Navel Orange Administrative Committee held an open meeting on March 25, 1954, after giving due notice thereof, to consider supply and market conditions for navel oranges and the need for regulation; interested persons were afforded an opportunity to submit information and views at this meeting; the recommendation and supporting information for regulation during the period specified herein was promptly submitted to the Department after such meeting was held; the provisions of this section, including its effective time, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such navel oranges; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period herein specified; and compliance with this section will not require any special preparation on the part of persons subject thereto which cannot be completed on or before the effective date of this section.

(b) *Order.* (1) The quantity of navel oranges grown in Arizona and designated part of California which may be handled during the period beginning at 12:01 a. m., P. s. t., March 28, 1954, and ending at 12:01 a. m., P. s. t., April 4, 1954, is hereby fixed as follows:

(i) District 1: Unlimited movement;

(ii) District 2: 346,500 boxes;

(iii) District 3: Unlimited movement;

(iv) District 4: Unlimited movement.

(2) The prorate base of each handler who has made application therefor, as provided in the said marketing agreement and order, is hereby fixed in accordance with the prorate base schedule which is set forth below and made a part hereof by this reference.

(3) Navel oranges handled pursuant to the provisions of this section shall be subject to any size restrictions applicable thereto which have heretofore been issued on the handling of such oranges and which are effective during the period specified herein.

(4) As used in this section, "handled," "handler," "boxes," "prorate base," "District 1," "District 2," "District 3," and "District 4" shall have the same meaning as when used in said marketing agreement and order.

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. and Sup. 608c)

Done at Washington, D. C., this 26th day of March 1954.

[SEAL] S. R. SMITH,
Director, Fruit and Vegetable Division, Agricultural Marketing Service.

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FEDERAL REGISTER

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(For use during 1954)

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Title 3, 1953 Supp. ($1.50)
Title 16 ($1.00)
Titles 22–23 ($1.00)
Title 24 ($0.75)

Previously announced: Title 8 ($0.35); Titles 10–13 ($0.50); Title 18 ($0.45); Title 25 ($0.45); Titles 40–42 ($0.50); Title 49: Parts 1 to 70 ($0.60); Parts 71 to 90 ($0.65); Parts 91 to 164 ($0.45); Parts 165 to end ($0.60)

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PRORATE BASE SCHEDULE

[12:01 a. m., P. s. t., Mar. 28 to 12:01 a. m., P. s. t., Apr. 4, 1954]

NAVEL ORANGES

PRORATE DISTRICT NO. 2

Handler	Prorate base (percent)
Total	100.0000
A. N. F. Corona	.3428
A. N. F. Fullerton	.0000
A. N. F. Orange	.0000
A. N. F. Riverside	1.4396
A. N. F. Santa Paula	.0971
Eadington Fruit Co	.3901
Signal Fruit Association	1.1225
Bryn Mawr Mutual Orange Association	.4258
Chula Vista Mutual Lemon Association	.0000
Euclid Avenue Orange Association	2.2300
Foothill Citrus Union, Inc	.0809
Index Mutual Association	.0000
La Verne Cooperative Citrus Association	2.3505
Olive Hillside Groves, Inc	.0000
Redlands Foothill Groves	3.2122
Redlands Mutual Orange Association	1.5207
Ventura County Fruit Growers, Inc	.3144
Azusa Citrus Association	.9443

PRORATE BASE SCHEDULE—Continued

NAVEL ORANGES—continued

PRORATE DISTRICT NO. 2—continued

Handler	Prorate base (percent)
Covina Citrus Association	2.0880
Glendora Citrus Association	1.3140
Valencia Heights Orchards Association	.6877
Gold Buckle Association	4.3177
La Verne Orange Association	4.0870
Anaheim Valley Orange Association	.0000
Fullerton Mutual Orange Association	.0000
La Habra Citrus Association	.0000
Yorba Linda Citrus Association	.0000
El Cajon Valley Citrus Association	.0000
Escondido Orange Association	.0000
Citrus Fruit Growers	.4758
Cucamonga Mesa Growers	.7221
Etiwanda Citrus Fruit Association	.1446
Upland Citrus Association	2.3456
Consolidated Orange Growers	.0000
Garden Grove Citrus Association	.0000
Goldenwest Citrus Association	.0000
Olive Heights Citrus Association	.0000
Santiago Orange Growers Association	.1176
Villa Park Orchards Association	.0000
Bradford Bros., Inc	.0000
Placentia Mutual Orange Association	.0000
Placentia Orange Growers Association	.0000
Yorba Orange Growers Association	.0070
Corona Citrus Association	1.5278
Jameson Company	.6595
Orange Heights Orange Association	4.9025
Crafton Orange Growers Association	1.5775
East Highlands Citrus Association	.5169
Redlands Heights Groves	.9932
Redlands Orangedale Association	1.5157
Rialto-Fontana Citrus Association	.2074
Bryn Mawr Fruit Growers Association	1.2804
Mission Citrus Association	.9072
Redlands Cooperative Fruit Association	2.2616
Redlands Orange Growers Association	1.6223
Redlands Select Groves	.5722
Rialto Orange Company	.7654
Southern Citrus Association	1.0649
United Citrus Growers	.9093
Arlington Heights Citrus Co	1.8065
Blue Banner, Inc	3.1703
Brown Estate, L. V. W	2.5211
Gavilan Citrus Association	2.3488
McDermont Fruit Co	1.8499
Monte Vista Citrus Association	1.8351
National Orange Co	1.8721
Riverside-Highgrove Citrus Association	2.2238
Victoria Avenue Citrus Association	3.7129
Claremont Citrus Association	.6004
College Heights Orange & Lemon Association	1.8886
Indian Hill Citrus Association	1.1742
Pomona Fruit Growers Exchange	1.0188
Walnut Fruit Growers Association	.6965
West Ontario Citrus Association	.8349
Escondido Cooperative Citrus Association	.0000
Camarillo Citrus Association	.0053
Fillmore Citrus Association	1.0968
Mupu Citrus Association	.0000
Ojai Orange Association	1.1679
Piru Citrus Association	1.5583
Rancho Sespe	.0000
San Fernando Heights Orange Association	.6308
Santa Paula Orange Association	.0504
Tapo Citrus Association	.0162
Ventura County Citrus Association	.0224

PRORATE BASE SCHEDULE—Continued

NAVEL ORANGES—continued

PRORATE DISTRICT NO. 2—continued

Handler	Prorate base (percent)
East Whittier Citrus Association	0.0016
North Whittier Heights Citrus Association	.0578
Sierra Madre-Lamanda Citrus Association	.0319
A. J. Packing Co	.1489
Babijuice Corp. of California	.0000
Cherokee Citrus Co., Inc	.9167
Dunning, Vera Hueck	.1826
Evans Brothers Packing Co	.7462
Far West Products Distributors	.1845
Gold Banner Association	2.7550
Gold Seal Products, Inc	.1827
Granada Packing House	.0048
Holland, M. J	.0274
Orange Belt Fruit Distributors	.7281
Panno Fruit Co., Carlo	.0000
Paramount Citrus Association	.2278
Prescott, John A	.0045
Riverside Fruit Co	.1813
Rotolo Bros	.0228
San Antonio Orchards Co	1.2650
Smallwood, Luella L	.0091
Spire, Frank S	.0093
Stephens & Cain	.1540
Torn Ranch	.0320
Wall, E. T., Grower-Shipper	2.8587
Western Fruit Growers, Inc	5.1034

[F. R. Doc. 54-2260; Filed, Mar. 26, 1954; 11:50 a. m.]

[Orange Reg. 254]

PART 933—ORANGES, GRAPEFRUIT, AND TANGERINES GROWN IN FLORIDA

LIMITATION OF SHIPMENTS

§ 933.675 *Orange Regulation 254*—(a) *Findings.* (1) Pursuant to the marketing agreement, as amended, and Order No. 33, as amended (7 CFR Part 933), regulating the handling of oranges, grapefruit, and tangerines grown in the State of Florida, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended, and upon the basis of the recommendations of the committees established under the aforesaid amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of shipments of all oranges, except Temple oranges, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this section until 30 days after publication thereof in the FEDERAL REGISTER (60 Stat. 237; 5 U. S. C. 1001 et seq.) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient; a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions of this section effective not later than March 29, 1954. Shipments of all oranges, except Temple oranges, grown in the State of Florida, are presently subject to regulation by grades and sizes, pursuant to the amended marketing agreement and order and will so continue until March 29; the recommendation and supporting information for continued regulation subsequent to March 28, 1954, was promptly submitted to the Department after an open meeting of the Growers Administrative Committee on March 23; such meeting was held to consider recommendations for regulation, after giving due notice of such meeting and interested persons were afforded an opportunity to submit their views at this meeting; the provisions of this section, including the effective time of this section, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such oranges; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period hereinafter set forth so as to provide for the continued regulation of the handling of all oranges, except Temple oranges; and compliance with this section will not require any special preparation on the part of the persons subject thereto which cannot be completed by the effective time of this section.

(b) *Order.* (1) During the period beginning at 12:01 a. m., e. s. t., March 29, 1954, and ending at 12:01 a. m., e. s. t., April 12, 1954, no handler shall ship:

(i) Any oranges, except Temple oranges, grown in the State of Florida, which do not grade at least U. S. No. 1 Russet; or

(ii) Any oranges, except Temple oranges, grown in the State of Florida, which are of a size smaller than a size that will pack 288 oranges, packed in accordance with the requirements of a standard pack, in a standard nailed box.

(2) As used in this section, the terms "handler," "ship," and "Growers Administrative Committee" shall each have the same meaning as when used in said amended marketing agreement and order; and the terms "U. S. No. 1 Russet," "standard pack," and "standard nailed box," shall have the same meaning as when used in the revised United States Standards for Florida Oranges (§§ 51.1140 to 51.1186 of this title).

Shipments of Temple oranges, grown in the State of Florida, are subject to the provisions of Orange Regulation 244 (§ 933.647 of this title; 18 F. R. 7380).

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. and Sup. 608c)

Done at Washington, D. C., this 24th day of March 1954.

[SEAL] S. R. SMITH,
Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F. R. Doc. 54-2206; Filed, Mar. 26, 1954; 8:50 a. m.]

[Grapefruit Reg. 198]

PART 933—ORANGES, GRAPEFRUIT, AND TANGERINES GROWN IN FLORIDA

LIMITATION OF SHIPMENTS

§ 933.676 *Grapefruit Regulation 198*—(a) *Findings.* (1) Pursuant to the mar-

keting agreement, as amended, and Order No. 33, as amended (7 CFR Part 933), regulating the handling of oranges, grapefruit, and tangerines grown in the State of Florida, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended, and upon the basis of the recommendations of the committees established under the aforesaid amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of shipments of grapefruit, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this section until 30 days after publication thereof in the FEDERAL REGISTER (60 Stat. 237; 5 U. S. C. 1001 et seq.) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient; a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions of this section effective not later than March 29, 1954. Shipments of grapefruit, grown in the State of Florida, are presently subject to regulation by grades and sizes, pursuant to the amended marketing agreement and order, and will so continue until March 29, 1954; the recommendation and supporting information for continued regulation subsequent to March 28, 1954, was promptly submitted to the Department after an open meeting of the Growers Administrative Committee on March 23; such meeting was held to consider recommendations for regulation, after giving due notice of such meeting, and interested persons were afforded an opportunity to submit their views at this meeting; the provisions of this section, including the effective time of this section, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such grapefruit; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period hereinafter set forth so as to provide for the continued regulation of the handling of grapefruit; and compliance with this section will not require any special preparation on the part of persons subject thereto which cannot be completed by the effective time of this section.

(b) *Order.* (1) During the period beginning at 12:01 a. m., e. s. t., March 29, 1954, and ending at 12:01 a. m., e. s. t., April 12, 1954, no handler shall ship:

(i) Any white seeded grapefruit, grown in the State of Florida, which do not grade at least U. S. No. 1 Russet;

(ii) Any white seedless grapefruit, grown in the State of Florida, which do not grade at least U. S. No. 2 Russet;

(iii) Any white seeded grapefruit, grown in the State of Florida, which are of a size smaller than a size that will pack 70 grapefruit, packed in accordance with the requirements of a standard pack, in a standard nailed box;

(iv) Any white seedless grapefruit, grown in Regulation Area I, that grade U. S. No. 2 Russet, U. S. No. 2 or U. S. No. 2 Bright, (*a*) which are of a size smaller than a size that will pack 96 grapefruit, packed in accordance with the requirements of a standard pack, in a standard nailed box; or (*b*) which are of a size larger than a size that will pack 70 grapefruit, packed in accordance with the requirements of a standard pack, in a standard nailed box;

(v) Any white seedless grapefruit, grown in Regulation Area I, that grade U. S. No. 1 Russet, U. S. No. 1, U. S. No. 1 Bronze, U. S. No. 1 Golden, U. S. No. 1 Bright or U. S. Fancy, which are of a size smaller than a size that will pack 96 grapefruit, packed in accordance with the requirements of a standard pack, in a standard nailed box;

(vi) Any white seedless grapefruit, grown in Regulation Area II, which are of a size smaller than a size that will pack 96 grapefruit, packed in accordance with the requirements of a standard pack, in a standard nailed box; or

(vii) Any pink grapefruit, grown in the State of Florida, which do not grade at least U. S. No. 2 Russet.

(2) As used in this section "handler," "ship," "Growers Administrative Committee," "Regulation Area I," and "Regulation Area II" shall have the same meaning as when used in said amended marketing agreement and order; and "U. S. No. 1 Russet," "U. S. No. 1," "U. S. No. 1 Bronze," "U. S. No. 1 Golden," "U. S. No. 1 Bright," "U. S. Fancy," "U. S. No. 2," "U. S. No. 2 Bright," "U. S. No. 2 Russet," "standard pack," and "standard nailed box" shall have the same meaning as when used in the revised United States Standards for Florida Grapefruit (§§ 51.750 to 51.790 of this title).

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. and Sup. 608c)

Done at Washington, D. C., this 24th day of March 1954.

[SEAL] S. R. SMITH,
Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F. R. Doc. 54-2211; Filed, Mar. 26, 1954; 8:51 a. m.]

[Lemon Reg. 530]

PART 953—LEMONS GROWN IN CALIFORNIA AND ARIZONA

LIMITATION OF SHIPMENTS

§ 953.637 *Lemon Regulation 530*—(a) *Findings.* (1) Pursuant to the marketing agreement, as amended, and Order No. 53, as amended (7 CFR Part 953; 18 F. R. 6767), regulating the handling of lemons grown in the State of California or in the State of Arizona, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and upon the basis of the recommendation and information submitted by the Lemon Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of the quantity of such lemons which may be handled, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this section until 30 days after publication thereof in the FEDERAL REGISTER (60 Stat. 237; 5 U. S. C. 1001 et seq.) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient, and a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions of this section effective as hereinafter set forth. Shipments of lemons, grown in the State of California or in the State of Arizona, are currently subject to regulation pursuant to said amended marketing agreement and order; the recommendation and supporting information for regulation during the period specified in this section was promptly submitted to the Department after an open meeting of the Lemon Administrative Committee on March 24, 1954, such meeting, was held, after giving due notice thereof to consider recommendations for regulation, and interested persons were afforded an opportunity to submit their views at this meeting; the provisions of this section, including its effective time, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such lemons; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period hereinafter specified; and compliance with this section will not require any special preparation on the part of persons subject thereto which cannot be completed by the effective time of this section.

(b) *Order.* (1) The quantity of lemons grown in the State of California or in the State of Arizona which may be handled during the period beginning at 12:01 a. m., P. s. t., March 28, 1954, and ending at 12:01 a. m., P. s. t., April 4, 1954, is hereby fixed as follows:

(i) District 1: Unlimited movement;

(ii) District 2: 275 carloads;

(iii) District 3: Unlimited movement.

(2) The prorate base of each handler who has made application therefor, as provided in the said amended marketing agreement and order, is hereby fixed in accordance with the prorate base schedule which is attached to Lemon Regulation 529 (19 F. R. 1535) and made a part of this section by this reference.

(3) As used in this section, "handled," "handler," "carloads," "prorate base," "District 1," "District 2," and "District 3," shall have the same meaning as when

used in the said amended marketing agreement and order.

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. and Sup. 608c)

Done at Washington, D. C., this 25th day of March 1954.

[SEAL] S. R. SMITH,
Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F. R. Doc. 54-2236; Filed, Mar. 26, 1954; 8:56 a. m.]

TITLE 5—ADMINISTRATIVE PERSONNEL

Chapter I—Civil Service Commission

PART 6—EXCEPTIONS FROM THE COMPETITIVE SERVICE

RECONSTRUCTION FINANCE CORPORATION

Effective upon publication in the FEDERAL REGISTER, paragraphs (a) (2), (3), (4), and (7), (b) (5), and (h) (1) of § 6.121 are revoked, and paragraphs (a) (5) and (6), (b) (1), (2), (3) and (4), (c) (1), (d) (1), (e) (1), and (f) (1) are amended as set out below.

§ 6.121 *Reconstruction Finance Corporation*—(a) *General.* * * *

(5) Until June 30, 1954, not to exceed 8 positions as Loan Agency Manager and not to exceed 8 positions of Assistant Loan Agency Manager.

(6) Until June 30, 1954, Inventory Custodians, Watchmen, Caretakers, and Laborers engaged in the care and preservation of property held by the Corporation and its subsidiaries.

(b) *Office of the Administrator.* (1) Until June 30, 1954, two Private Secretaries or Confidential Assistants to the Administrator; and one Assistant to the Administrator.

(2) Until June 30, 1954, two Assistants to the Administrator; six Special Assistants to the Administrator; four Special Representatives (Field).

(3) Until June 30, 1954, six Administrative Assistants, and one Junior Administrative Assistant.

(4) Until June 30, 1954, one Chauffeur for the Administrator.

(c) *Office of the Secretary.* (1) Until June 30, 1954, a Secretary of the Corporation; one Assistant Secretary and one Assistant to the Secretary.

(d) *Office of the Treasurer.* (1) Until June 30, 1954, a Treasurer of the Corporation and one Assistant Treasurer.

(e) *Office of the Controller.* (1) Until June 30, 1954, a Controller of the Corporation; one Assistant Controller; and the Chief of the Audit Division.

(f) *Office of the General Counsel.* (1) Until June 30, 1954, a General Counsel of the Corporation; two Special Counsel and four Assistants General Counsel.

(R. S. 1753, sec. 2, 22 Stat. 403; 5 U. S. C. 631, 633. E. O. 10440, March 31, 1953, 18 F. R. 1823)

UNITED STATES CIVIL SERVICE COMMISSION,
[SEAL] WM. C. HULL,
Executive Assistant.

[F. R. Doc. 54-2186; Filed, Mar. 26, 1954; 8:49 a. m.]

PART 6—EXCEPTIONS FROM THE COMPETITIVE SERVICE

FOREIGN OPERATIONS ADMINISTRATION

Effective upon publication in the FEDERAL REGISTER, the headnote of § 6.149 is changed from Mutual Security Agency to Foreign Operations Administration; paragraph (d) of § 6.149 is revoked; paragraph (e) is added to § 6.149 and § 6.349 is added as set out below.

§ 6.149 *Foreign Operations Administration.* * * *

(e) The positions of Director for Personnel Security and Integrity, Deputy Director for Personnel Security and Integrity, and Director of the Inspections Division.

§ 6.349 *Foreign Operations Administration*—(a) *Office of the Director.* (1) Two Assistants to the Director.

(2) One Confidential Assistant (Private Secretary) to the Director.

(3) One Private Secretary to the Director.

(4) One Confidential Assistant to the Deputy Director of Foreign Operations.

(5) Two Chauffeur-Guards for the Director.

(b) *Office of the Deputy Director for Management.* (1) Deputy Director for Management.

(2) Director for Research, Statistics and Reports.

(3) One Confidential Assistant to the Director for Research, Statistics and Reports.

(4) Deputy General Counsel.

(5) Director for Public Reports.

(R. S. 1753, sec. 2, 22 Stat. 403; 5 U. S. C. 631, 633. E. O. 10440, March 31, 1953, 18 F. R. 1823)

UNITED STATES CIVIL SERVICE COMMISSION,
[SEAL] W. C. HULL,
Executive Assistant.

[F. R. Doc. 54-2185; Filed, Mar. 26, 1954; 8:49 a. m.]

TITLE 12—BANKS AND BANKING

Chapter III—Federal Deposit Insurance Corporation

AMENDMENT OF ASSESSMENT AND OTHER PROVISIONS

Effective March 30, 1954, the amendments of Parts 302, 326, and 327 of the rules and regulations of the Corporation which were published in the FEDERAL REGISTER of February 20, 1954 (19 F. R. 1019–1021) under notice of proposed rule making, are adopted, after consideration of all relevant matter presented by interested persons on the proposed amendments, with further amendments. The amended regulations as adopted are set forth below. Parts 326 and 327 are applicable to the assessment base days commencing March 31, 1954, and thereafter. Any changes made by these amendments of regulations are not retroactive.

Amendments of Parts 302–309, 328 and 333 as set forth below are adopted effective March 30, 1954, and as these changes are in the nature of a clarification and do not diminish the rights of insured banks, notice of them as proposed rules is found to be unnecessary.

The amendments of the regulations, as adopted, are as follows:

1. Part 327 is amended to read as follows:

PART 327—ASSESSMENTS

Sec.
327.1 Definitions and periods of deduction for uncollected items.
327.2 Payment of assessments by banks whose insured status has terminated.
327.3 Time of payment.

AUTHORITY: §§ 327.1 to 327.3 issued under sec. 9, 64 Stat. 882; 12 U. S. C. 1819. Interpret or apply secs. 7, 8, 64 Stat. 876–881; 12 U. S. C. 1817, 1818.

§ 327.1 *Definitions and periods of deductions for uncollected items.* As used in section 7 (a) of the Federal Deposit Insurance Act and in this part:

(a) *Base day; definition.* The term "base day" shall be the period of time beginning with the time of the closing of the books[1] of the bank on the last business day immediately preceding the assessment base day to the time of the closing of the books of the bank on the base day according to the normal practice of the bank. Holidays and other nonbusiness days intervening between the preceding business day and the base day are a part of the base day.

(b) *Cash item; definition.* The term "cash item" means any instrument providing for the payment of money which the reporting bank has received in the regular course of business and in exchange therefor has given credit to a deposit account or has issued an instrument evidencing or constituting a deposit as defined in such Act or in Part 326 of this chapter, or has paid in the regular course of business: *Provided,* That the instrument is in the process of collection and is payable on presentation: *Provided further,* That the payer or drawee of the instrument is not the reporting bank or a branch or office thereof. The term reporting bank as used in this part means the bank filing the certified statement for assessment purposes. For the purpose of this paragraph a cash item shall be deemed paid by the reporting bank if the bank has given cash therefor or credit as a payment on a debt due to the bank, or has received it in payment for a Series "E" bond or other security (not an asset of the bank), or as a collection for public utility service, or in a similar transaction: *Provided, however,* That an instrument received by a bank in payment of, or arising from, the sale or other disposition of any of its assets is not a cash item.

(c) *Maintenance of assessment records.* Each insured bank, as a condition to the right to make any deduction or exclusion in determining its assessment base, shall maintain such records as will readily permit verification of the correctness thereof.

[1] The phrase "closing of the books" on a business day, frequently referred to as the "cutoff time," here means the time to which transactions are reflected on the books as part of the busines of that day, even though such transactions may not actually be recorded until a later time.

(d) *Cash items eligible for deduction.* (1) In computing the assessment base only cash items, as defined in this section, may be deducted under either of the two alternative methods described in this section. Such cash items may be deducted without regard to whether withdrawal has been made against the credit given to deposit accounts therefor: *Provided*, That such cash items are credited and withdrawals are made in the normal course of business.

(2) No deductions may be made or claimed:

(i) For cash items after the reporting bank has received payment or notice of dishonor thereof;

(ii) For instruments received in payment for cash items previously paid or credited to deposit accounts and forwarded for collection;

(iii) For instruments received in payment of clearings;

(iv) By the issuing or drawer bank for drafts transferring its own funds;

(v) For drafts drawn and delivered or exchanged for the purpose of reducing the assessment base;

(vi) For any cash item drawn by an officer, director, stockholder, or affiliate of the reporting bank, or any person or corporation at its, his, or their suggestion or direction for the purpose of abnormally increasing the deposits on the base day or for the purpose of obtaining abnormal deductions. The length of time such funds remain on deposit will be a factor in determining their purpose.

(3) No two reporting banks may deduct the same cash item under the (aa) method [1] for computing deductible cash items unless one of the banks normally, and in the regular course of business, is a collecting and check clearing agent for the other bank. Cash items reaching another bank or banks by special handling on the base day, other than in the normal and regular practice, may not be deducted under the (aa) method by such other bank or banks but such other bank or banks may claim deduction therefor in the actual amount if included in the reported deposit liabilities.

(e) *Process of collection.* (1) A cash item is deemed to be in the process of collection from the time it is either credited to a deposit account or paid by the reporting bank and until the reporting bank has received acceptable payment in the form of cash, credit, draft, or officer's check, or notice of dishonor, but such draft or officer's check so received is not a cash item for the purpose of claiming deductions: *Provided*, That an item shall not be considered as uncollected at the close of business on the base day if such item has been outstanding for a period in excess of the time necessary to send the item in due course to the Federal Reserve Bank of the Federal Reserve district or a branch thereof in which the reporting bank is located, plus the time allowed for collection from the place where the item is payable, as shown on the current Time Schedule of such Federal Reserve Bank or branch thereof: *Provided further*, That in the case of an insured bank or branch located outside of any Federal Reserve district, an item shall not be considered as uncollected at the close of business on the base day if such item has been outstanding for a period in excess of the time from the date the cash item is paid or credited to a deposit account and the date of receipt (in the usual course of business) by the correspondent bank to which the item is forwarded for collection plus the collection time allowed by the Federal Reserve Time Schedule for the district in which the correspondent bank is located.

(2) A cash item drawn on a place not included in the Federal Reserve Time Schedule, or a cash item not collectible through a Federal Reserve Bank or branch thereof, may be considered to be in the process of collection for the actual time required to collect it.

(3) This section is not to be construed as requiring any bank to clear items through any Federal Reserve Bank or branch thereof.

(f) *Forwarded for collection.* A cash item shall be deemed to have been forwarded for collection on the base day if it has been received for collection on the base day and has been either forwarded for collection on that day or is in the process of forwarding in accordance with the normal procedure of the bank, even though the item may be in the possession of the bank at the time of the closing of the books on the base day. When holidays and other nonbusiness days are a part of the base day the cash items transmitted for collection on any such nonbusiness day may not be treated as cash items forwarded for collection on the base day if the items are collected at the time of the closing of the books on the base day, or if the maximum period for deductions prescribed in paragraph (e) of this section shall have expired at the time of the closing of the books on that day.

(g) *Held for clearings.* A cash item is considered to be held for clearings at the close of business on the base day if:

(1) It has been received in the usual course of business on the base day before the closing of the books on that day;

(2) It is held for clearance or presentment at the time of the said closing in conformity with the normal practice of the reporting bank;

(3) The payer or drawee of the instrument is a bank or person, other than the reporting bank, located in the same city or local clearing area or is a member of or affiliated with the same clearing house as the reporting bank or regularly clears through such clearing house or a member or an affiliate thereof.

(h) *Payable on presentation.* An item is deemed to be "payable on presentation" when the payer or drawee is required to pay it forthwith upon presentation. The reference includes such items as warrants directed to a public official to pay on demand the amount thereof, matured bonds or bonds presented for redemption, matured coupons, "payable through" items, and sight drafts with or without bills of lading, securities, or other similar documents attached. It does not include items payable upon arrival or inspection of certain goods nor other items which are not customarily cleared or collected by the reporting bank as cash items.

(i) *Choice of method in computing deductible cash items.* An insured bank may, at its option, compute its deductible cash items by either of the two following methods, designated (aa) and (bb), namely:

(aa) Under this method a bank may deduct twice the amount of the total of the cash items forwarded for collection on the base day and cash items held for clearings at the close of business on said day which are in the process of collection and which were received and reflected on the books as part of the business of the base day, all in accordance with the normal procedure of the bank.

(bb) Under this method a bank may deduct the total of the cash items forwarded for collection on the base day and cash items held for clearings at the close of business on said day which are in the process of collection and which were received and reflected on the books as part of the business of the base day, plus the amount of the cash items paid or credited on the preceding days which are in the process of collection and which remain uncollected on the assessment base day, all in accordance with the normal procedure of the bank. If the (bb) method is used, no cash item may be considered uncollected for any period in excess of that prescribed in paragraph (e) of this section.

(j) *Option to claim deductions for uncollected items; change of method.* The reporting bank may select either of the two alternate methods, (aa) or (bb), for claiming deductions for cash items, provided this same method is used for both base days in the semiannual assessment period. After this selection is made and a certified statement filed, the bank may, within two years from the date on which such certified statement was required to be filed, file an amendment of such certified statement for the purpose of changing to the other alternate method. When a bank has elected not to claim any deductions for cash items in a certified statement, it may, within two years from the date on which such certified statement was required to be filed, file an amendment of such certified statement claiming deductions for cash items.

(k) *Direct sendings of uncollected items.* For the purposes of this part a cash item received on a base day by a correspondent bank or a Federal Reserve Bank or branch thereof is considered as being received by the reporting bank on the base day if, in the normal course of the bank's business, the cash item has been forwarded direct to such correspondent or Federal Reserve Bank or branch thereof by a depositor of the reporting bank for credit to the depositor's account in the reporting bank and the reporting bank enters such credit to the account of the depositor on the base day. Deductions may be claimed by the reporting bank for only the cash items in such direct sendings which remain uncollected at the time of the closing of the books on the base day. No deduction may be taken for any such cash item which would have been collected if the item had been forwarded directly to the reporting bank instead of to the correspondent, and all deductions claimed

[1] See sec. 7 (a), Federal Deposit Insurance Act, 12 U. S. C. 1817 (a); also paragraph (i) of this § 327.1.

must be supported by proper records maintained by the reporting bank.

(l) *Interbranch items.* An item which is drawn against a deposit account maintained in the main office or a branch office of the reporting bank and which is received by an office of the reporting bank other than the office where the deposit account is carried and which has been paid or credited to a deposit account is not a cash item eligible for deduction. If the item is not reflected on the books of the bank on the base day as a charge against deposit liabilities, it may be subtracted therefrom in its actual amount.

(m) *Reciprocal bank balances.* A reciprocal bank balance for the purpose of this part is where the reporting bank has a deposit balance due to another insured bank and such reporting bank has a deposit balance due from the same insured bank, disregarding for this purpose balances representing deposits of trust funds. The reporting bank must include in the total of its deposit liabilities for assessment purposes the total of its deposit liability to the said other insured bank as shown on the books of the reporting bank at the time of the closing of its books on the base day. It may deduct from such total deposit liabilities the amount of the deposit balance due from such other insured bank but not in an amount in excess of the balance due to such insured bank. For the purpose of computing the reciprocal bank balance deduction the balances used must be subject to immediate withdrawal. This means that items in the process of collection must be excluded from the computation of both the "due to" and "due from" balances as shown on the books of the reporting bank. Any outstanding unpaid draft credited to the "due from" account may be added back to the book balance to show the actual collected balance due from the other insured bank in computing this deduction.

(n) *Trust funds deposited in other insured banks; deduction.* The term "trust funds" means funds held by an insured bank in a fiduciary capacity, whether held in its trust department or deposited in any other department or in another bank, and includes, without being limited to, funds held as trustee, executor, administrator, guardian, or agent. The reporting bank shall include in its total deposit liabilities for assessment purposes all trust funds so held by it in a fiduciary capacity. It may, however, deduct from such reported total deposit liabilities the following portion of such trust funds so held:

(1) Trust funds received by the reporting bank in its trust department which the reporting bank has deposited directly from its trust department to a depositary insured bank;

(2) Trust funds received by other departments of the reporting bank from sources other than the trust department which funds the reporting bank has deposited directly from such department or from its trust department to the depositary insured bank;

(3) Trust funds deposited directly to the account of the reporting bank in a depositary insured bank by a person or persons other than the reporting bank;

(4) Trust funds originating from a pre-existing deposit account in another insured bank to which the reporting bank has become entitled in its fiduciary capacity: *Provided,* That in each of the foregoing instances:

(i) The account is maintained in the depositary insured bank by the reporting bank as fiduciary and the account is appropriately entitled to show that the funds therein are trust funds;

(ii) The funds in such account are used exclusively for their trust purposes by the reporting bank; and

(iii) Records are kept which clearly show that the trust funds have been deposited and maintained in the manner above stated.

§ 327.2 *Payment of assessments by banks whose insured status has terminated*—(a) *Assumed deposits of terminating bank become deposits of assuming bank.* The deposit liabilities of an insured bank, if assumed by another insured bank, will, except to the extent that depositors of the first bank by affirmative action signify their express intention to hold the first bank liable as a debtor, be presumed for assessment purposes to cease being deposit liabilities of the first bank on the date the assumption becomes effective: *Provided,* That the requisite notice of assumption be given to the depositors of the terminating bank.[3] The assumed deposits, for assessment purposes, are deposit liabilities of the assuming bank from the date of assumption, whether or not the requisite notice of assumption has been given to the depositors.

(b) *Payment of assessments by assuming bank on assumed deposits of terminating bank.* Where the deposit liabilities of an insured bank are assumed by another insured bank and the assuming bank agrees to file the certified statement which the terminating bank is required to file, the filing of such certified statement and the payment of the assessment thereon by the assuming bank shall be deemed the acts of the terminating bank: *Provided,* That the requisite notice of assumption [3] be given to the depositors of the terminating bank, and *Provided further,* That such certified statement shall be filed separately from that required to be filed by the assuming bank.

(c) *Resumption of insured status before insurance of deposits ceases.* If a bank whose insured status has been terminated under section 8 (a) or (b) of the Federal Deposit Insurance Act, makes application to the Corporation, before the insurance of its deposits shall have ceased, to be permitted to continue or to resume its staus as an insured bank and if the Board of Directors grants the application, the bank will be deemed, for assessment purposes, to continue as an insured bank and must thereafter furnish certified statements and pay assessments as though its insured status had not ben terminated. For the procedure to be followed in making such application, see § 303.7 of this chapter.

§ 327.3 *Time of payment.* Each insured bank shall pay to the Corporation the amount of the semiannual assessment due to the Corporation, as shown on its certified statement,[4] at the time such statement is required to be filed under section 7 (b) of the Federal Deposit Insurance Act.

2. Part 326 is amended to read as follows:

PART 326—BANK OBLIGATIONS PRESCRIBED AS DEPOSITS

Sec.
326.1 Deposits.
326.2 Money or its equivalent.

AUTHORITY: §§ 326.1 and 326.2 issued under sec. 9, 64 Stat. 882; 12 U. S. C. 1819. Interpret or apply sec. 3, 64 Stat. 874; 12 U. S. C. 1813.

§ 326.1 *Deposits.* The term "deposit" as used in section 3 (l) of the Federal Deposit Insurance Act, shall include the following obligations.

(a) *Outstanding drafts, cashiers' checks and other officers' checks.* Outstanding drafts,[2] cashiers' checks, and other officers' checks issued under any of the following circumstances:

(1) For money or its equivalent received by the issuing bank; or

(2) For a charge against a deposit account in the issuing bank; or

(3) In settlement of checks, drafts, or other instruments forwarded to the issuing bank for collection.

(b) *Certified checks.* Checks drawn against a deposit account and certified by the drawee bank.

(c) *Letters of credit and traveler's checks.*[3] Outstanding letters of credit or traveler's checks on which the bank is primarily liable issued under either of the following circumstances:

(1) For money or its equivalent received by the issuing bank; or

(2) For a charge against a deposit account in the issuing bank.

(d) *Special purpose funds.* Money received or held by the bank, or the credit given therefor to an account including a special or memorandum account, which money or credit is held for a special or specific purpose, regardless of whether the relationship thereby created is that of debtor-creditor, fiduciary, or any other relationship.[4]

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[3] The requisite notice of assumption shall be the notice prescribed in § 307.3 of this chapter.

[2] Drafts drawn on foreign correspondents or foreign branches and payable only in foreign countries are not included in the term "deposit".

[3] The change in the wording of this paragraph is a clarification of the consistent interpretation by the Corporation of the term "letters of credit" to include all letters of credit issued under the circumstances stated in this paragraph.

[4] Special purpose funds, defined in § 326.1 (d), include, among others and without limitation to those mentioned here, escrow funds, funds held as collateral security for an obligation due the bank or others, withheld taxes, funds held for distribution or for purchase of securities or currency, or funds held by the bank to meet its acceptances or letters of credit. The Corporation has consistently interpreted the term "deposit", as defined in the Federal Deposit Insurance Act since 1935, to include special purpose funds as defined in § 326.1 (d). These special purpose funds are also deposits by general usage. This clarification is made with the realization that some or all of the funds defined as special purpose funds in § 326.1 (d) may be within the term "deposit" as defined in the Federal Deposit Insurance Act since 1935.

[4] See §§ 304.1 and 304.3 of this chapter.

§ 326.2 *Money or its equivalent.* Under paragraphs (a) and (c) of § 326.1 drafts, cashiers' checks, and other officers' checks, letters of credit and traveler's checks must be regarded as issued for the equivalent of money when issued in exchange for checks or drafts or for promissory notes upon which the person procuring any of the enumerated instruments is primarily or secondarily liable.

3. Section 302.3 is amended by deleting the words "Committee on Administration" and substituting therefor the words "Special Committee".

4. Sections 303.1 and 303.2 are amended by deleting in § 303.1 the footnote reference number "2" and the footnote numbered "2" and substituting in § 303.2 the number "2" for the footnote reference number "3" and renumbering footnote "3" as footnote "2".

5. Section 304.2 is amended by deleting the word "should" and substituting therefor the word "shall".

6. Section 305.1 is amended by changing the sixth sentence thereof to read as follows: "The Corporation is authorized to make payment of the insured deposits in cash or by making available to each depositor a transferred deposit in a 'new bank,'* which is insured, in the same community or in another insured bank in an amount equal to the insured deposit of such depositor." with the following footnote:

*See section 11 (h)-(1) of the Federal Deposit Insurance Act, 12 U. S. C. 1821 (h)-(1).

7. Section 306.1 is amended by adding the words "and deposits" after the word "purchases" in the caption of the section and by deleting the word "from" in the first sentence of the section and substituting therefor the words "or deposits with" and by deleting the words "attorneys' fees" in the fifth sentence of the section.

8. Section 306.2 is amended by changing the twelfth sentence thereof to read as follows: "Attorney fees are submitted by the Legal Division to the Special Committee for recommendation to and determination by the Board of Directors."

9. Section 306.3 is amended by deleting the footnote reference number "4" and substituting therefor the number "2".

10. Footnote numbered 8 to paragraph (a) of § 307.2 is amended by deleting the following: "footnote 13" and substituting therefor the following: "footnote 12".

11. Footnote numbered 11 to paragraph (b) of § 307.3 is amended by deleting the number "327.3" and substituting therefor the number "327.2".

12. Section 308.14 is amended by deleting from the caption thereof the words "Service; proof of service" and substituting therefor the word "Service".

13. Part 309 is amended to read as follows:

PART 309—CONFIDENTIAL AND PRIVILEGED RECORDS AND INFORMATION

Sec.
309.1 Unpublished information.
309.2 Opinions and orders.

AUTHORITY: §§ 309.1 and 309.2 issued under sec. 9, 64 Stat. 882; 12 U. S. C. 1819. Interpret or apply sec. 10, 64 Stat. 882-883; 12 U. S. C. 1820.

§ 309.1 *Unpublished information—(a) Confidential information and records.* All files, documents, reports, books, accounts, and records (collectively referred to as "records" in this section) pertaining to any bank, or the internal operations and affairs of the Corporation, in the possession or under the control of the Corporation or any officer, employee, or agent thereof, including but not limited to (1) reports of examinations or investigations of any bank, (2) applications, statements, and reports to the Corporation by any bank, (3) proceedings for the termination of the insured status of any bank, or (4) the internal operations of the corporation including minutes of the meetings of the Board of Directors and authorized committees and exhibits filed therewith, and all facts or information contained in such records or acquired by the officers, employees, or agents of the Corporation in the performance of their official duties (collectively referred to as "information" in this section) are confidential and privileged.

(b) *Disclosure prohibited.* (1) Officers, employees, and agents of the Corporation are prohibited from allowing any person to inspect, examine, or copy any of said confidential or privileged records, or furnishing copies thereof, or from disclosing any confidential and privileged information, except as herein provided:

(i) The Chief of any Division having custody thereof, in his discretion, may release or furnish any records or information, other than records enumerated in paragraph (a) (1), (2), (3), and (4) of this section and information acquired in reference thereto, to any governmental agency, State or Federal, for use in the exercise of its official duties; and to any other person upon a verified written application which shall show that the applicant has a substantial interest therein and the purpose for which it is to be used: *Provided, however,* That when such records or information are requested by any person other than a governmental agency, the Division Chief shall find, and such finding shall be supported by opinion of the General Counsel, that the release or disclosure is not detrimental or prejudicial to the bank or banks or person or persons from whom the records or information were obtained or received, nor contrary to the public interest.

(ii) The Chief of the Division of Examination may furnish to any bank copies of any reports of examination or investigation of such bank (except the section of the report designated "confidential") and other information pertaining to its affairs: *Provided,* That copies of such reports of examination and other information so furnished to any bank shall remain the property of the Corporation and under no circumstances shall the bank or any of its directors, officials, or employees disclose or otherwise make public in any manner such reports or any portion thereof or other information so furnished.

(iii) The Chief of the Division of Examination may furnish to the Comptroller of the Currency, to any Federal Reserve Bank, and to any commission, board, or authority having supervision of a State nonmember bank, and to the Reconstruction Finance Corporation, or its successor Federal agency, if it owns or holds as pledgee, or has under consideration an application for the purchase of any preferred stock, capital notes, or debentures in such bank, copies of reports of examination made on behalf of the Corporation and other information pertaining to insured nonmember banks for use in the exercise of their official duties: *Provided,* That such reports of examination and other information so furnished to such officials or agency shall remain the property of the Corporation and under no circumstances shall any such official or agency disclose or make public in any manner such reports or any portion thereof or other information so furnished.

(iv) The Chief of the Division of Examination may furnish to any official of the Department of Justice or to any State prosecuting authority any information regarding defalcations, burglaries, or robberies affecting insured banks, when, in his opinion, there is urgent need for immediate action to be taken by such Department or authority in the investigation thereof or the apprehension or prosecution of persons responsible therefor.

(v) The Chief of the Division of Research and Statistics may furnish to the Comptroller of the Currency, to any Federal Reserve Bank, and to any commission, board, or authority having supervision of a State nonmember bank, copies of reports of condition made by insured banks to the Corporation including statements of assets, liabilities, and capital accounts, and of earnings, expenses, and distribution of profits, for use in the exercise of their official duties: *Provided,* That under no circumstances shall such Federal or State officials make public the contents of such reports or any portion thereof, except in the publication of general statistical reports.

(vi) The General Counsel of the Corporation may disclose to the proper Federal or State prosecuting authorities any and all records and information relating to irregularities discovered in open and closed insured banks believed to constitute violations of any Federal or State statute.

(vii) The General Counsel may authorize the production of any record, the disclosure of any information, and the giving of any testimony with respect thereto, by any officer, employee, or agent of the Corporation, upon any proceeding, hearing, or trial, civil or criminal, in any Federal or State court or before any administrative board, commission, or committee, on behalf of or at the request of the Corporation, the United States, or State prosecuting official, or the bank or person from whom such confidential and privileged records and information were received or obtained.

(2) The authorizations hereunder may be given only in response to a subpena or other legal process duly issued and served upon the Corporation at its principal office, which service may be by registered mail addressed to the Corporation at Washington, D. C., specifying the record requested, the nature and scope of the testimony to be elicted, the name of the

witness and the place and time of appearance: *Provided*, That the General Counsel, in his discretion, may waive the requirement of service of subpena or process when he believes it to be in the interest of justice to do so. Without such prior authorization, any officer, employee or agent of the Corporation required to respond to a subpena or other legal process shall attend at the time and place therein mentioned and respectfully decline to produce any record or disclose any information or give any testimony with respect thereto, basing his refusal upon this rule.

(c) *Application for disclosure without subpena.* Applications for disclosure of information or records hereunder should be addressed to the appropriate Division Chief or the General Counsel of the Corporation, as the case may be.

(d) *Service of process on officer, employee, or agent.* Any officer, employee, or agent of the Corporation served with a subpena, order, or other process requiring his personal attendance as a witness or the production of records or information upon any proceeding mentioned in paragraph (b) (1) (vii) of this section shall promptly advise (1) the court or tribunal which issued the process, and the attorney for the party at whose instance the process was issued, if known, of the substance of this rule, and (2) the General Counsel of the Corporation at Washington, D. C., of such service and of the records and information requested and of any facts which may be of assistance to the General Counsel in determining whether such records and information should be made available.

(e) *Authority of Chairman of Board of Directors.* Notwithstanding any of the foregoing provisions, the Chairman of the Board of Directors, in his discretion and pursuant to law, may authorize the production, examination, or inspection of any records, or the furnishing of copies thereof, or the disclosure of any information, or the Chairman, in his discretion, may direct the General Counsel or the Chief of any Division to refuse to permit the production, examination, or inspection of any records, or the furnishing of copies thereof, or the disclosure of any information, if he shall find such action to be in the best interests of the Corporation and consistent with the public interest.

(f) *Publication of data.* The Board of Directors or the Chairman may from time to time authorize and direct the publication and public distribution of information and data compiled from the records of the Corporation.

§ 309.2 *Opinions and orders.* (a) A survey and review of the opinions and orders heretofore made by the Board of Directors of the Corporation in the adjudication of cases, in connection with licensing, supervision, investigation, termination of insured status, payment of insured deposits, and the administration of liquidations and receiverships, disclose that their publication would not be of current interest or importance, they are not cited as precedents, and are required for good cause to be held confidential. Accordingly, they will not be published nor made available to public inspection.

(b) The Board of Directors will, however, either publish, or, in accordance with published rule, make available for public inspection, final opinions and orders in the adjudication of cases which are cited as precedents and which are not required for good cause to be held confidential.

14. Paragraph (b) of § 328.1 is amended by adding in the second sentence after the words "any other sign of" the word "substantially".

15. Section 328.2 is amended (1) by deleting in paragraph (a) the words "in paragraph (c)" and substituting therefor the words "in paragraph (d)"; (2) by changing the designations of paragraphs (c), (d) and (e) to (d), (e) and (f), respectively and (3) by adding thereto the following paragraph:

(c) *Use of emblem containing official advertising statement.* (1) The Corporation has approved for use by insured banks on all of its advertisements and bank supplies the following emblem containing the official advertising statement, and its use in advertisements requiring the official advertising statement will satisfy the mandatory requirements of paragraph (a) of this section:



(2) An insured bank may use any other emblem containing reference to deposit insurance or membership in the Corporation which shall have been approved in writing by the Corporation; however, no such other emblem will satisfy the mandatory requirements of paragraph (a) of this section.

16. Section 328.3 is amended to read as follows:

§ 328.3 *Short title.* The short title "Member of FDIC" may be used by insured banks; however, such short title will not satisfy the mandatory requirements of paragraph (a) of § 328.2.

17. Section 333.101 is amended by deleting the words "those of a commercial bank" and substituting therefor the words "the business of a commercial bank".

FEDERAL DEPOSIT INSURANCE CORPORATION,
[SEAL] E. F. DOWNEY,
Secretary.

MARCH 23, 1954.

[F. R. Doc. 54-2181; Filed, Mar. 26, 1954; 8:48 a. m.]

TITLE 32—NATIONAL DEFENSE

Chapter V—Department of the Army

Subchapter B—Claims and Accounts

PART 535—PAYMENT OF BILLS AND ACCOUNTS

MISCELLANEOUS AMENDMENTS

1. In § 535.22, paragraphs (a) (1) and (b) (2) are revised and a new subparagraph (3) is added to paragraph (b) as follows:

§ 535.22 *By whom paid*—(a) *Within continental limits of United States and Alaska*—(1) *Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana.* (i) All transportation accounts for Department of the Army bills of lading and transportation requests issued for service to and from and within the continental limits of the United States and Alaska (except those payable from appropriations for civil functions of the Corps of Engineers and transoceanic shipments from and to foreign countries moving by water) will be paid by the disbursing officer of the Finance Center, U. S. Army Transportation Division, Indianapolis 49, Indiana.

(ii) Bills for miscellaneous charges such as demurrage, icing, salting, switching, reweiging, storage, etc., accruing in connection with shipments under Department of the Army bills of lading and transportation requests will be paid by the disbursing officer of the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana.

* * * * *

(b) *Outside continental United States.*

* * *

(2) Transportation requests (Standard Forms 1139 and 1141) issued for service within the Caribbean or Pacific area, Philippine Islands, and in foreign countries will be paid by a disbursing officer in the area concerned except that the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana, will pay transportation requests issued for travel in Canada and Mexico and may pay for service in a foreign country when billed for in United States currency.

(3) Transportation accounts of household goods by commercial motor van carriers on Government warrants, purchase orders and contracts issued for service within the Caribbean or Pacific areas, Philippine Islands and in foreign countries, will be paid by a disbursing officer in the area concerned.

* * * * *

2. Section 535.29 is revised as follows:

§ 535.29 *Settlement of claims of venders for prepaid transportation costs.* The disbursing officer of the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana, is designated as the paying officer for transportation accounts only in those cases where shipment moves on Government bill of lading, or there is a conversion to Government bill of lading prior to payment and a properly certified bill supported by such document is submitted by a carrier. It is not the function of the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, In-

diana, to make reimbursement, either in the full amount, or in part, of a claim arising out of prepayment of transportation costs by a commercial concern under a procurement instrument which provides directly or indirectly for shipment at the expense of the United States. Such reimbursement may be made by the disbursing officer designated to make payment under the procurement instrument in question to the extent of the constructive transportation cost for shipment on Government bill of lading, which cost may be ascertained from the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana. In doubtful cases, such claims may be prepared for transmission to the General Accounting Office and submitted to the Chief of Finance, Washington 25, D. C., Attention: Receipts and Disbursements Division, for consideration. In no event will the disbursing officer forward, or instruct a vendor to forward, such claim to the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana, for settlement.

3. In § 535.33, paragraph (d) is revised as follows:

§ 535.33 *Overpayments.* * * *

(d) Where it is determined that overpayments have been made to a transportation company as a result of overcharges made by such transportation company to a cost-plus-a-fixed-fee contractor who, in turn, has been reimbursed by the Government, the General Accounting Office will send notices of such overpayments to the disbursing officer of the Finance Center, U. S. Army, Transportation Division, Indianapolis 49, Indiana, who will make the deductions from subsequent carrier bills and advise the sender in the General Accounting Office and the carrier of the deductions made. From that point on, the matter of correctness of the original deductions will be a matter for settlement between the carrier involved and the General Accounting Office. All questions received from carriers as to the correctness of the original deductions should be referred to the Freight Transportation Section, Claims Division, General Accounting Office, Washington 25, D. C.

[Cl, SR 35-3260-1, February 8, 1954] (R. S. 161; 5 U. S. C. 22. Interpret or apply 54 Stat. 954 as amended; 49 U. S. C. 65)

[SEAL] WM. E. BERGIN,
Major General, U. S. Army,
The Adjutant General.

[F. R. Doc. 54-2184; Filed, Mar. 26, 1954; 8:49 a. m.]

TITLE 33—NAVIGATION AND NAVIGABLE WATERS

Chapter II—Corps of Engineers, Department of the Army

PART 207—NAVIGATION REGULATIONS

MISCELLANEOUS AMENDMENTS

Pursuant to the provisions of section 7 of the River and Harbor Act of August 8, 1917 (40 Stat. 266; 33 U. S. C. 1), § 207.180 governing the use, administration, and navigation of all waterways tributary to the Gulf of Mexico, except the Mississippi River, its tributaries and outlets, from St. Marks, Florida, to the Rio Grande, Texas, both inclusive, and the Intracoastal Waterway from Apalachee Bay, Fla., to Brownsville, Texas, is hereby amended to increase the maximum allowable length of all tows to 1,000 feet exclusive of the towing vessel, as follows:

§ 207.180 *All waterways tributary to the Gulf of Mexico (except the Mississippi River, its tributaries and outlets) from St. Marks, Fla., to the Rio Grande; use, administration, and navigation.* (a) The regulations in this section shall apply to:

(1) *Waterways.* All navigable waters of the United States which are tributary to or connected by other waterways with the Gulf of Mexico, except the Mississippi River, its tributaries and outlets, between St. Marks, Fla., and the Rio Grande, Texas, both inclusive, and the Intracoastal Waterway from Apalachee Bay, Fla., to Brownsville, Texas.

* * * * *

(e) *Waterways.* * * *

(4) *Size, assembly, and handling of tows.* On waterways 150 feet wide or less, tows will not be allowed which are longer than 1,000 feet, exclusive of the towing vessel and hawser, or wider than one-half the bottom width of the channel or 55 feet, whichever width is less, except on waterways exempted by the District Engineer or on other waterways by special permission of the District Engineer.

(i) All vessels drawing tows not equipped with rudders in restricted channels and land cuts shall use two towlines, or a bridle on one towline, shortened to the greatest possible extent so as to have maximum control at all times. The various parts of a tow shall be securely assembled with the individual units connected by lines as short as practicable. In open water, the towlines and fastenings between barges may be lengthened so as to accommodate the wave surge. In the case of lengthy or cumbersome tows, or tows in restricted channels, the District Engineer may require that tows be broken up, and may require the installation of a rudder or other approved steering device on the tow in order to avoid obstructing navigation or damaging the property of others. Pushing barges with towing vessel astern, towing barges with towing vessel alongside, or pushing and pulling barges with units of the tow made up both ahead and astern of the towing vessel is permissible provided that adequate power is employed to keep the tow under full control at all times.

(ii) No tow shall be drawn by a vessel that has insufficient power or crew to permit ready maneuverability and safe handling.

(iii) No vessel or tow shall navigate through a drawbridge until the movable span is fully opened.

* * * * *

(h) *Marine accidents.* Masters, mates, pilots, owners, or other persons using the waterways to which the regulations in this section apply shall report to the District Engineer or his authorized representative by the most expeditious means available all marine accidents, such as fire, collision, sinking, or stranding, where there is possible obstruction of the channel or interference with navigation, furnishing a clear statement as to the name, address, and ownership of the vessel or vessels involved, the time and place, and the action taken. In all cases, the owner of a sunken vessel shall take immediate steps to mark the wreck properly.

* * * * *

[Regs., Mar. 10, 1954, 800.211 (Gulf Intracoastal Waterways)—ENGWO] (40 Stat. 266; 33 U. S. C. 1)

[SEAL] WM. E. BERGIN,
Major General, U. S. A.,
The Adjutant General.

[F. R. Doc. 54-2183; Filed, Mar. 26, 1954; 8:48 a. m.]

TITLE 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

Appendix—Public Land Orders

[Public Land Order 946]

ARKANSAS

PARTIAL REVOCATION OF EXECUTIVE ORDER NO. 8591 OF NOVEMBER 8, 1940

By virtue of the authority vested in the President by the act of June 25, 1910, c. 421 (36 Stat. 847; 43 U. S. C. 141) and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

Executive Order No. 8591 of November 8, 1940, withdrawing certain public lands in Arkansas in connection with the construction of the Norfolk Dam and Reservoir under the supervision of the War Department, is hereby revoked so far as it affects the following-described lands:

FIFTH PRINCIPAL MERIDIAN

T. 20 N., R. 12 W.,
Sec. 8, NE¼NE¼, N½SE¼NE¼.

The area described contains 60 acres.

The lands are included in power site classification No. 33, Arkansas No. 2, by departmental order of April 29, 1922. The W½NE¼NE¼ is included in Federal Power Project No. 654 by application filed June 6, 1930.

ORME LEWIS,
Assistant Secretary of the Interior.

MARCH 23, 1954.

[F. R. Doc. 54-2161; Filed, Mar. 26, 1954; 8:45 a. m.]

PROPOSED RULE MAKING

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

[7 CFR Part 51]

GREEN ASPARAGUS

NOTICE OF NONISSUANCE OF REVISED STANDARDS FOR CANNING OR FREEZING

A notice was published in the January 20, 1954, issue of the FEDERAL REGISTER (19 F. R. 354) concerning the issuance of revised United States Standards for Green Asparagus for Canning or Freezing, pursuant to the authority contained in the Agricultural Marketing Act of 1946 (60 Stat. 1087 et seq., 7 U. S. C., 1621 et seq.) and the Department of Agriculture Appropriation Act, 1954 (Pub. Law 156, 83d Cong., approved July 28, 1953).

This notice provided a period of 30 days for all persons to submit written data, views or arguments for consideration in connection with the proposed standards.

On the basis of all such data, views or arguments which have been filed with the Chief, Fresh Products Standardization and Inspection Branch, Fruit and Vegetable Division, Agricultural Marketing Service, and all relevant matters presented pursuant to such notice, it has been concluded that it is not desirable to issue the proposed revision at this time.

It is determined, therefore, that the revised United States Standards, as proposed in the aforementioned notice, will not be made effective at this time.

Dated: March 24, 1954.

[SEAL] ROY W. LENNARTSON,
Deputy Administrator,
Marketing Services.

[F. R. Doc. 54-2208; Filed, Mar. 26, 1954; 8:51 a. m.]

[7 CFR Part 52]

DEHYDRATED (LOW-MOISTURE) APPLES[1]

UNITED STATES STANDARDS FOR GRADES

Notice is hereby given that the United States Department of Agriculture is considering the issuance, as herein proposed, of United States Standards for Grades of Dehydrated (Low-moisture) Apples pursuant to the authority contained in the Agricultural Marketing Act of 1946 (60 Stat. 1087, 7 U. S. C. 1621 et seq.) and the Department of Agriculture Appropriation Act, 1954 (Pub. Law 156, 83d Cong., approved July 28, 1953). These standards, if made effective, will be the first issue by the Department of grade standards for this product.

All persons who desire to submit written data, views, or arguments for consideration in connection with the proposed standards should file the same, in duplicate, with the Chief, Processed Products Standardization and Inspection Branch, Fruit and Vegetable Division, Agricultural Marketing Service, United States Department of Agriculture, Washington 25, D. C., not later than 30 days after publication hereof in the FEDERAL REGISTER.

The proposed standards are as follows:

PRODUCT DESCRIPTION, STYLES, AND GRADES

Sec.
52.2341 Product description.
52.2342 Styles of dehydrated apples.
52.2343 Grades of dehydrated apples.

FACTORS OF QUALITY

52.2344 Ascertaining the grade.
52.2345 Ascertaining the rating for the factors which are scored.
52.2346 Color.
52.2347 Uniformity of size.
52.2348 Absence of defects.
52.2349 Texture.

EXPLANATIONS AND METHODS OF ANALYSES

52.2350 Explanation of methods and analyses.

LOT CERTIFICATION TOLERANCES

52.2351 Tolerances for certification of officially drawn samples.

SCORE SHEET

52.2352 Score sheet for dehydrated apples.

AUTHORITY: §§ 52.2341 to 52.2352 issued under sec. 205, 60 Stat. 1090; 7 U. S. C. 1624; Pub. Law 156, 83d Cong.

PRODUCT DESCRIPTION, STYLES, AND GRADES

§ 52.2341 *Product description.* Dehydrated (low moisture) apples, hereinafter referred to as "dehydrated apples," are prepared from clean and sound fresh or previously dried (or evaporated) apples from which the peels and cores have been removed and are cut into segments. The dried (or evaporated) apple segments may be cut further into smaller segments in preparation for dehydration whereby practically all of the moisture is removed to produce a very dry texture. The sulphur dioxide content of the finished product may not exceed 500 parts per million but no other additives may be present.

§ 52.2342 *Styles of dehydrated apples*—(a) *Pie pieces.* Pie pieces consist predominantly of parallel-cut, irregularly shaped pieces, approximating 3/16-inch or less in thickness and 3/4-inch or longer in their longest dimension.

(b) *Flakes.* Flakes consist predominantly of parallel-cut, irregularly shaped pieces, approximately 3/16-inch or less in thickness and less than 3/4-inch in their longest dimension.

(c) *Wedges.* Wedges are fairly thick sectors, approximating no more than 5/8-inch at their greatest thickness.

(d) *Sauce pieces.* Sauce pieces are small popcornlike units of varying shapes and sizes, not otherwise conforming to the style of flakes, and in which practically all of the units when free-flowing will pass through 0.446-inch square openings. Sauce pieces of this style, when practically all of the units will pass through 3/8-inch square openings, are considered "finely-cut."

§ 52.2343 *Grades of dehydrated apples.* (a) "U. S. Grade A" or "U. S. Fancy" dehydrated apples is the quality of dehydrated apples in which the moisture content of the finished product is not more than 2.5 percent by weight; that possess a normal flavor and odor, that possess a good color, that are reasonably uniform in size, that are practically free from defects, that possess a good texture, and that for those factors which are scored in accordance with the scoring system outlined in this subpart the total score is not less than 85 points.

(b) "U. S. Grade B" or "U. S. Choice" dehydrated apples is the quality of dehydrated apples in which the moisture content of the finished product is not more than 3.5 percent by weight; that possess a normal flavor and odor, that possess a reasonably good color, that are fairly uniform in size, that are reasonably free from defects, that possess a reasonably good texture, and that for those factors which are scored in accordance with the scoring system outlined in this subpart the total score is not less than 70 points.

(c) "Substandard" dehydrated apples is the quality of dehydrated apples that fail to meet the requirements of U. S. Grade B or U. S. Choice.

FACTORS OF QUALITY

§ 52.2344 *Ascertaining the grade.* (a) The grade of dehydrated apples is ascertained by considering the factors of moisture content and flavor and odor which are not scored and the respective ratings for the factors of color, uniformity of size, absence of defects, and texture which are scored.

(b) The relative importance of each factor which is scored is expressed numerically on the scale of 100. The maximum number of points that may be given such factors are:

Factors:	Points
Color	20
Uniformity of size	20
Absence of defects	40
Texture	20
Total score	100

(c) The factors of flavor and odor, color, and texture are ascertained both upon the dehydrated apples and the cooked product as outlined in this subpart.

(d) "Normal flavor and odor" means that the dehydrated apples and the cooked product possess a characteristic flavor and odor that is free from objectionable flavors and objectionable odors of any kind.

§ 52.2345 *Ascertaining the rating for the factors which are scored.* The essential variations within each factor which is scored are so described that the value may be ascertained for each factor and expressed numerically. The numerical range within each factor which is scored is inclusive (for example, "17 to 20 points" means 17, 18, 19, or 20 points).

[1] The requirements of these standards shall not excuse failure to comply with the provisions of the Federal Food, Drug, and Cosmetic Act.

§ 52.2346 *Color*—(a) *(A) classification.* Dehydrated apples that possess a good color may be given a score of 17 to 20 points. "Good color" means that the dehydrated apples possess a reasonably uniform, reasonably bright, light yellow to yellow-white characteristic color which, upon cooking, is a reasonably bright color typical of cooked dehydrated apples that have been properly prepared and processed.

(b) *(B) classification.* If the dehydrated apples possess a reasonably good color, a score of 14 to 16 points may be given. Dehydrated apples that fall into this classification shall not be graded above U. S. Grade B or U. S. Choice, regardless of the total score for the product (this is a limiting rule). "Reasonably good color" means that the dehydrated apples possess a fairly uniform, fairly bright, light yellow-amber or light yellow to yellow-white characteristic color and which, upon cooking, may be variable in color but typical of cooked dehydrated apples that have been properly prepared and processed.

(c) *(SStd) classification.* Dehydrated apples that fail to meet the requirements of paragraph (b) of this section may be given a score of 0 to 13 points and shall not be graded above Substandard, regardless of the total score for the product (this is a limiting rule).

§ 52.2347 *Uniformity of size*—(a) *(A) classification.* Dehydrated apples that are reasonably uniform in size may be given a score of 17 to 20 points. "Reasonably uniform in size" has the following meanings for the respective styles:

(1) *Pie pieces.* (i) Not less than 75 percent, by weight, of all the units are ¾-inch or more in their longest dimension and including not less than 35 percent, by weight, of all the units are 1 inch or more in their longest dimension;

(ii) Practically all of the units ¾-inch or more in their longest dimension are 5/16-inch or less at their greatest thickness; and

(iii) Not more than 10 percent, by weight, of all the units may be of such size in their greatest width or greatest thickness as to pass through meshes of a U. S. Standard No. 4 sieve (0.187-inch, ±3 percent, square openings); but

(iv) Not more than 5 percent, by weight, of all the units may pass through meshes of a U. S. Standard No. 8 sieve (0.0937-inch, ±3 percent, square openings).

(2) *Flakes.* (i) Not less than 85 percent, by weight, of all the units are less than ¾-inch in their longest dimension;

(ii) Practically all of such sized units are 5/16-inch or less at their greatest thickness; and

(iii) Not more than 10 percent, by weight, of all the units may pass through meshes of a U. S. Standard No. 8 sieve (0.0937-inch, ±3 percent, square openings); but

(iv) Practically none may pass through meshes of a U. S. Standard No. 16 sieve (0.0469-inch ±3 percent, square openings).

(3) *Wedges.* (i) Not less than 95 percent, by weight, of all the units are 1 inch or longer in their longest dimension; and

(ii) Practically all of such sized units are 5/8-inch or less at their greatest thickness.

(4) *Sauce pieces.* (i) Not less than 95 percent, by weight, of all the units are of such size as to pass through 0.446-inch square openings;

(ii) Not more than 10 percent, by weight, of all the units may pass through meshes of a U. S. Standard No. 8 sieve (0.0937-inch, ±3 percent, square openings); but

(iii) Practically none may pass through meshes of a U. S. Standard No. 16 sieve (0.0469-inch, ±3 percent, square openings).

(b) *(B) classification.* If the dehydrated apples are fairly uniform in size a score of 14 to 16 points may be given. Dehydrated apples that fall into this classification shall not be graded above U. S. Grade B or U. S. Choice, regardless of the total score for the product (this is a limiting rule). "Fairly uniform in size" has the following meanings for the respective styles:

(1) *Pie pieces.* (i) Not less than 60 percent, by weight, of all the units are ¾-inch or more in their longest dimension and including not less than 25 percent, by weight, of all the units are 1 inch or more in their longest dimension;

(ii) Practically all of the units ¾-inch or more in their longest dimension are 5/16-inch or less at their greatest thickness; and

(iii) Not more than 15 percent, by weight, of all the units may be of such size in their greatest width or greatest thickness as to pass through meshes of a U. S. Standard No. 4 sieve (0.187-inch, ±3 percent, square openings); but

(iv) Not more than 5 percent, by weight, of all the units may pass through meshes of a U. S. Standard No. 8 sieve (0.0937-inch, ±3 percent, square openings).

(2) *Flakes.* (i) Not less than 85 percent, by weight, of all the units are less than ¾-inch in their longest dimension;

(ii) Practically all of such sized units are 5/16-inch or less at their greatest thickness; and

(iii) Not more than 5 percent, by weight, of the product may pass through meshes of a U. S. Standard No. 16 sieve (0.0469-inch, ±3 percent, square openings).

(3) *Wedges.* (i) Not less than 85 percent, by weight, of all the units are 1 inch or longer in their longest dimension; and

(ii) Practically all of such sized units are 5/8-inch or less at their greatest thickness.

(4) *Sauce pieces.* (i) Not less than 85 percent, by weight, of all the units are of such size as to pass through 0.446-inch square openings;

(ii) Not more than 5 percent, by weight, of the product may pass through meshes of a U. S. Standard No. 16 sieve (0.0469-inch, ±3 percent, square openings).

(c) *(SStd) classification.* Dehydrated apples that fail to meet the requirements of paragraph (b) of this section may be given a score of 0 to 13 points and shall not be graded above Substandard, regardless of the total score for the product (this is a limiting rule).

§ 52.2348 *Absence of defects*—(a) *General.* The factor of absence of defects refers to the degree of freedom from carpel tissue; from units damaged by pieces of skin, bruises or other discoloration, bitter pit or corky tissue, water core, or damaged by other means; and from units damaged by calyxes and stems, or portions thereof.

(1) "Practically free from carpel tissue" means that for each 2 ounces of dehydrated apples any carpel tissue that may be present does not exceed in the aggregate an area equal to ½-square inch.

(2) "Reasonably free from carpel tissue" means that for each 2 ounces of dehydrated apples any carpel tissue that may be present in the aggregate exceeds an area equal to ½-square inch but does not exceed an area equal to 1 square inch.

(3) "Damaged by pieces of skin" means pieces of skin, regardles of color, which in their greatest dimension exceeds ¼-inch.

(4) "Damaged by other means" means defects not specifically mentioned which affect materially the appearance or edibility, or both, of the piece so damaged.

(5) "Damaged by bruises or other discoloration, bitter pit or corky tissue, water core, and other similar defects" means the appearance or eating quality, or both, of the unit is materially affected by such defects.

(6) "Damaged by calyxes and stems or portions thereof" means the appearance or eating quality, or both, of the unit is materially affected by such defects.

(b) *(A) classification.* Dehydrated apples that are practically free from defects may be given a score of 34 to 40 points. "Practically free from defects" means that dehydrated apples of any style are practically free from carpel tissue and, in addition, has the following meanings for the respective styles:

(1) *Pie pieces; and wedges.* Not more than 10 percent, by weight, of all the units may be damaged by pieces of skin, bruises or other discoloration, bitter pit or corky tissue, water core, other means, calyxes, and stems: *Provided*, That not more than 1 percent, by weight, of all the units may be damaged by calyxes and stems.

(2) *Flakes; and sauce pieces.* Not more than 5 percent, by weight, of all the units may be damaged by pieces of skin, bruises or other discoloration, bitter pit or corky tissue, water core, other means, calyxes, and stems: *Provided*, That not more than ½ of 1 percent, by weight, of all the units may be damaged by calyxes and stems.

(c) *(B) classification.* If the dehydrated apples are reasonably free from defects, a score of 28 to 33 points may be given. Apples that fall into this classification shall not be graded above U. S. Grade B or U. S. Choice, regardless of the total score for the product (this is a limiting rule). "Reasonably free from defects" means that dehydrated apples of any style are reasonably free from carpel tissue, and, in addition, has

the following meanings for the respective styles:

(1) *Pie pieces; and wedges.* Not more than 15 percent, by weight, of all the units may be damaged by pieces of skin, bruises or other discoloration, bitter pit or corky tissue, water core, other means, calyxes, and stems: *Provided*, That not more than 2 percent, by weight, of all the units may be damaged by calyxes and stems.

(2) *Flakes; and sauce pieces.* Not more than 8 percent, by weight, of all the units may be damaged by pieces of skin, bruises or other discoloration, bitter pit or corky tissue, water core, other means, calyxes, and stems: *Provided*, That not more than 1 percent, by weight, of all the units may be damaged by calyxes and stems.

(d) *(SStd) classification.* Dehydrated apples that fail to meet the requirements of paragraph (c) of this section may be given a score of 0 to 27 points and shall not be graded above Substandard, regardless of the total score for the product (this is a limiting rule).

§ 52.2349 *Texture*—(a) *(A) classification.* Dehydrated apples that possess a good texture may be given a score of 17 to 20 points. "Good texture" means with respect to the dehydrated product that the units are brittle; and, upon cooking in accordance with the methods outlined in this subpart, the textures of the respective styles are as follows:

(1) *Pie pieces; and wedges.* The units are reasonably uniform in tenderness and texture; are practically free from any tough (or "leathery") units; and there is no more than moderate disintegration except for small pieces that may have been present.

(2) *Flakes.* The units are reasonably uniform in tenderness and texture; are practically free from any tough (or "leathery") units; and there may be considerable distintegration of the pieces but not to the degree of a grainy applesauce consistency.

(3) *Sauce pieces.* The mass has a reasonably uniform texture and finish ranging from that of a coarse, grainy applesauce to a fine, grainy applesauce, without practically any hard particles.

(b) *(B) classification.* If the dehydrated apples possess a reasonably good texture, a score of 14 to 16 points may be given. Dehydrated apples that fall into this classification shall not be graded above U. S. Grade B or U. S. Choice, regardless of the total score for the product. "Reasonably good texture" means that the units need not be free-flowing but are brittle; and, upon cooking in accordance with the methods outlined in this subpart, the textures of the respective styles are as follows:

(1) *Pie pieces; and wedges.* The units are fairly uniform in tenderness and texture but moderately free from any tough (or "leathery") units; and there may be more than moderate disintegration except for small pieces that may have been present.

(2) *Flakes.* The units are fairly uniform in tenderness and texture but moderately free from any tough (or "leathery") units; and the pieces may have become disintegrated to the degree of a grainy applesauce consistency.

(3) *Sauce pieces.* The mass has a fairly uniform texture and finish ranging from that of a coarse, grainy applesauce to a fine, grainy applesauce; and hard particles may be noticeable but not objectionable.

(c) *(SStd) classification.* Dehydrated apples that fail to meet the requirements of paragraph (b) of this section may be given a score of 0 to 13 points and shall not be graded above Substandard, regardless of the total score for the product (this is a limiting rule).

EXPLANATIONS AND METHODS OF ANALYSES

§ 52.2350 *Explanations of methods and analyses.* (a) "Moisture" in the dehydrated apples is determined in accordance with the official method applicable to dried fruits as outlined in the "Official Methods of Analysis of the Association of Official Agricultural Chemists."

(b) The methods for cooking to ascertain compliance with requirements for color and texture are as follows for the respective styles; a representative sample of not less than 2 ounces avoirdupois to approximately 4 ounces avoirdupois is recommended for purposes of the cooking tests which follow:

(1) *Pie pieces.* Add 1 part, by weight, of pie pieces to 6 parts, by weight, of water just below the boiling point; cover, bring to a boil, and simmer for 20 minutes.

(2) *Flakes.* Add 1 part, by weight, of the flakes to 5 parts, by weight, of water just below the boiling point; cover, bring to a boil, and simmer for 15 minutes.

(3) *Wedges.* Add 1 part, by weight, of the wedges to 6 parts, by weight, of water just below the boiling point; cover, bring to a boil, and simmer for 30 minutes.

(4) *Sauce pieces.* Add 1 part, by weight, of the sauce pieces to 8 parts, by weight of water just below the boiling point; cover, bring to a boil, and simmer for 15 minutes.

(c) The technique for ascertaining compliance with the requirements for pieces that pass through U. S. Standard No. 4, No. 8, and No. 16 sieves is as follows:

(1) *Pie pieces.* (i) From a 4-ounce representative sample of dehydrated apple "pie pieces," remove all pieces which are ¾-inch or more in their longest dimension;

(ii) Place the remaining pieces on a U. S. Standard No. 4, 8-inch diameter, full-height sieve nested on top of a U. S. Standard No. 8, 8-inch diameter, full-height sieve to which a bottom pan has been attached;

(iii) Place the assembly on a smooth level surface and with a steady, fairly rapid sieving motion, move the assembly approximately 20 inches in a straight line and return to its original position, repeating the movement 20 times;

(iv) Weigh the fine material sifted through to the bottom pan and calculate on the basis of the original sample (under subdivision (i) of this subparagraph) as the percentage which passed through the No. 8 sieve; and

(v) Weigh the material sifted through the No. 4 sieve and remaining on the No. 8 sieve; calculate on the basis of the original sample (under subdivision (i) of this subparagraph) and add the percentage which remained on the No. 8 sieve to the percentage which passed through the No. 8 sieve (under subdivision (iv) of this subparagraph) as the total percentage which passed through the No. 4 sieve.

(2) *Flakes.* (i) From a 4-ounce representative sample of dehydrated apple "flakes" remove all pieces which are ¾-inch or more in their longest dimension;

(ii) Place the remaining sample on a U. S. Standard No. 8, 8-inch diameter, full-height sieve nested on top of a U. S. Standard No. 16, 8-inch diameter, full-height sieve to which a bottom pan has been attached;

(iii) Place the assembly on a smooth level surface and with a steady, fairly rapid sieving motion, move the assembly approximately 20 inches in a straight line and return to its original position, repeating the movement 20 times;

(iv) Weigh the fine material sifted through to the bottom pan and calculate on the basis of the original sample (under subdivision (i) of this subparagraph) as the percentage which passed through the No. 16 sieve; and

(v) Weigh the material sifted through the No. 8 sieve and remaining on the No. 16 sieve; calculate on the basis of the original sample (under subdivision (i) of this subparagraph) and add the percentage which remained on the No. 16 sieve to the percentage which passed through the No. 16 sieve (under subdivision (iv) of this subparagraph) as the total percentage which passed through the No. 8 sieve.

(3) *Sauce pieces.* (i) From a 4-ounce representative sample of dehydrated apple "sauce pieces" remove all pieces which will not pass through 0.446-inch square openings;

(ii) Place the remaining sample on a U. S. Standard No. 8, 8-inch diameter, full-height sieve nested on top of a U. S. Standard No. 16, 8-inch diameter, full-height sieve to which a bottom pan has been attached;

(iii) Place the assembly on a smooth level surface and with a steady, fairly rapid sieving motion, move the assembly approximately 20 inches in a straight line and return to its original position, repeating the movement 20 times;

(iv) Weigh the fine material sifted through to the bottom pan and calculate on the basis of the original sample (under subdivision (i) of this subparagraph) as the percentage which passed through the No. 16 sieve; and

(v) Weigh the material sifted through the No. 8 sieve and remaining on the No. 16 sieve; calculate on the basis of the original sample (under the foregoing subdivision (i) of this subparagraph) and add the percentage which remained on the No. 16 sieve to the percentage which passed through the No. 16 sieve (under subdivision (iv) of this subparagraph) as the total percentage which passed through the No. 8 sieve.

LOT CERTIFICATION TOLERANCES

§ 52.2351 *Tolerances for certification of officially drawn samples.* (a) When

certifying samples that have been officially drawn and which represent a specific lot of dehydrated apples the grade for such lot will be determined by averaging the total scores of the containers comprising the sample, if with respect to those factors which are scored:

(1) Not more than one-sixth of the containers fails to meet the grade indicated by the average of such total scores;

(2) None of the containers falls more than 4 points below the minimum score for the grade indicated by the average of such total scores;

(3) None of the containers falls more than one grade below the grade indicated by the average of such total scores; and

(4) The average score of all containers for any factor subject to a limiting rule is within the score range of that factor for the grade indicated by the average of the total scores of the containers comprising the sample.

SCORE SHEET

§ 52.2352 *Score sheet for dehydrated apples.*

Size and kind of container	----
Container mark or identification	----
Label (including SO_2 content, if any)	----
Net weight	----
Moisture content (percent)	----
Style	----

Factors		Score points	
Color	20	(A)	17–20
		(B)	[1] 14–16
		(SStd)	[1] 0–13
Uniformity of size	20	(A)	17–20
		(B)	[1] 14–16
		(SStd)	[1] 0–13
Absence of defects	40	(A)	34–40
		(B)	[1] 28–33
		(SStd)	[1] 0–27
Texture	20	(A)	17–20
		(B)	[1] 14–16
		(SStd)	[1] 0–13
Total score	100		

Normal flavor and odor	----
Grade	----

[1] Indicates limiting rule.

Done at Washington, D. C., this 24th day of March 1954.

[SEAL] ROY W. LENNARTSON,
Deputy Administrator,
Marketing Services.

[F. R. Doc. 54-2209; Filed, Mar. 26, 1954; 8:51 a. m.]

[7 CFR Part 927]

[Docket No. AO 71-A25]

HANDLING OF MILK IN THE NEW YORK METROPOLITAN MILK MARKETING AREA

NOTICE OF RECOMMENDED DECISION AND OPPORTUNITY TO FILE WRITTEN EXCEPTIONS WITH RESPECT TO PROPOSED AMENDMENT TO TENTATIVE MARKETING AGREEMENT, AND TO ORDER, AS AMENDED

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), notice is hereby given of the filing with the Hearing Clerk of the recommended decision of the Deputy Administrator, Agricultural Marketing Service, United States Department of Agriculture, with respect to proposed amendments to the tentative marketing agreement and to the order, as amended, regulating the handling of milk in the New York metropolitan milk marketing area. Interested parties may file written exceptions to this decision with the Hearing Clerk, United States Department of Agriculture, Washington 25, D. C., not later than the close of business the 5th day after publication of this decision in the FEDERAL REGISTER. Exceptions should be filed in quadruplicate.

Preliminary statement. The hearing, on the record of which the findings, conclusions and proposed amendment hereinafter set forth were formulated, was conducted at Utica, New York during the period October 19 through November 20, 1953, and at Albany, New York on November 23 and 24, 1953, pursuant to notice thereof issued on October 6, 1953 (18 F. R. 6457).

All of the material issues considered at the hearing relate to the classification and pricing of milk now in Class III (plus the question of eliminating existing differences between Class II and Class III in the nonfat dry milk solids market quotations and yield factors used). Such issues are concerned with:

1. The level of the Class III price and the pricing of those portions of Class III milk used for butter, cheese and candy products.

2. Whether the Boston weighted average cream price should continue to be used during the months of August through February in the pricing of all or a portion of the Class III milk.

3. Whether different market quotations and yield factors for nonfat dry milk solids should be used in the pricing of Class III milk, and whether such factors should be uniform for both Class II and Class III.

4. Pricing Class III milk on the basis of prices paid at selected Midwest condenseries.

5. Making provision in the order for separate allowances to handlers for Class III milk transferred from receiving plants to manufacturing plants.

6. Adoption of a so-called "flexible pricing plan."

Findings and conclusions. The findings and conclusions hereinafter set forth are based upon the evidence in the record of the hearing and relate only to the above listed issues numbered 1 and 2. Findings and conclusions concerning the remaining issues (3 through 6) are being deferred temporarily in order to expedite final action of issues 1 and 2. In arriving at the findings and conclusions herein official notice is being taken of (1) announcements of the United States Department of Agriculture issued on February 15 and 18, 1954, relating to the dairy price support level and the prices at which dairy products will be purchased by the Commodity Credit Corporation during the period April 1, 1954, through March 31, 1955, (2) monthly announcements for months since September 1953 issued to date by the market administrator showing class prices, product prices used in calculating class prices, the uniform price, receipts of pool milk and utilization, (3) announcement by the market administrator on December 29, 1953 of the estimated monthly production of pool milk and Class I-A and uniform prices for the first half of 1954, and (4) provisions for the pricing of Class II milk under Orders No. 4 and 61 regulating the handling of milk in Boston and Philadelphia.

Issues 1 and 2. It is concluded with respect to these issues that:

(1) The general level of the Class III price should be reduced 10 cents per hundredweight for the months of May and June 1954.

(2) The butter-cheese adjustment should be revised to provide a downward adjustment during the months of March through July in the price of milk for American cheese in the event of an unusually low market price for cheese in relation to the market price for butter and nonfat dry milk solids.

(3) No additional separate adjustment should be made in the price established for milk used for butter or for milk chocolate and other candy products.

(4) Use of the Boston weighted average cream price in the pricing of Class III milk during the months of August through February should be discontinued, but in lieu thereof, an additional 3 cents (total of 5) should be added to the market price of butter used in pricing Class III milk during any of the months of August through February for which the utilization adjustment percentage is 92 or higher.

The prospective volume of Class III milk during the months of seasonally highest production this year is larger than in 1953. For the months of January and February 1954 (the latest months for which data are available) the volume of pool milk was about 5 percent larger than a year earlier. The volume of Class III milk in those months was larger by 23 and 27 million pounds, respectively, than in January and February 1953. The estimate of the market administrator released December 29, 1953, is that the volume of pool milk in each of the months of May and June this year will be approximately 40 to 45 million pounds larger than in the same month in 1953. With no apparent indication of significantly larger volumes being utilized in Class I and II, indications are that the volume of Class III milk during the peak production season this year will be substantially larger than last year.

Numerous cooperative and proprietary handlers reported experiencing considerable difficulty in disposing of Class III milk during the flush season of 1953, at which time the volume to be disposed of was considerably larger than previously, but less than in prospect for this year. Handling charges obtained on milk for fluid use, both in the spot market and for contract sales, appear to have been at unusually low levels during the first half of 1953. Handlers attributed this condition, at least in part, to the inability to arrange for the disposition of Class III milk on more favorable terms. With the

additional volume of Class III milk in prospect this year, a lower Class III price during the period of peak production this year appears necessary in order to avoid a considerable degree of disorder in the disposition of all milk in excess of fluid requirements.

The disposition of Class III milk in competition, both with unregulated milk and with milk for which a lower minimum price is established under other orders, was reported to be one of the problems involved. In this connection, recognition is given to recently adopted or recommended amendments to Orders No. 4 and 61 for Boston and Philadelphia, respectively, under which minimum prices established for milk for manufacturing probably will be somewhat lower during the present flush season than the Class III price as now established. The prices established by State agencies for milk in manufacturing uses and disposed of in competition with Class III milk in most instances are lower than the Class III price under Order No. 27. The price adjustment herein recommended for May and June will bring the price for Class III milk more nearly in line with the minimum prices established under these other orders.

Recognition is also given to the somewhat larger margin for handling and processing contemplated under the 1954–1955 price support program for milk and butterfat than under the 1953–1954 program. The Class III price adjustment herein provided will result in a correspondingly larger margin between the minimum producer price and the market price of manufactured products during the period when the largest volume of Class III milk is utilized in those manufactured products which are purchased under the price support program. This record provides no basis however for concluding that lower prices should be provided for Class III milk other than for the flush production season this year. Whether or not a similar price adjustment should be applicable during the flush season of 1955 cannot be determined on this record.

It was contended at the hearing that failure to price milk utilized for the manufacture of American cheese more nearly in line with the market price of cheese constituted a handicap to the disposition of milk for use in cheese. It was proposed that milk used in the manufacture of American cheese be priced on the basis of cheese price quotations on the Wisconsin Cheese Exchange. It was contended that cheese made from pool milk customarily is sold on the basis of such quotations. Evidence was not presented to show the actual price at which cheese made from pool milk is sold and it was not established that such price bears any fixed or constant relationship to the price on the Exchange. Consequently, it cannot be concluded that the Exchange price constitutes a true indicator of the value of pool milk for cheese. It it recognized, however, that it is necessary for a portion of the Class III milk to be manufactured into American cheese during months of hightest production.

There appears to be no necessity for establishing a price for milk used for cheese lower than for milk used for butter and nonfat dry milk solids over any extended period of time. Although averaging about the same over long periods of time, there frequently are periods of several months during which there is considerable difference between the unregulated prices paid for milk at creameries and the prices paid at cheese factories in the same general competitive area. This fact was cited at the hearing in support of the proposal to establish a separate classification for milk used for American cheese and for pricing it on the basis of the market price of cheese independent of the price established for milk utilized for butter and nonfat dry milk solids. The order now provides, by means of the butter-cheese adjustment, for pricing milk at the same level when used either for cheese or for butter and for pricing milk for both uses at a moderately higher level whenever the market price of cheese is unusually high in relation to the market price of butter and nonfat dry milk solids.

Producers would not be receiving the full value of the milk, however, if milk for cheese was priced lower than for butter during those periods when all of the milk could be used for butter. On the other hand, during months of highest seasonal production when it is necessary to utilize pool milk in both butter and cheese there appears to be merit in the proposal to relate prices established for milk used for cheese more closely than at present to the market price for cheese. Accordingly, the butter-cheese adjustment provision should be revised to provide a price for milk made into cheese lower than for butter and nonfat dry milk solids during the months of March through July if during such months the market price for cheese is unusually low in relation to the market price for butter and nonfat dry milk solids. The amendment herein set forth provides that for each 0.05 of a point by which the normal ratio of 2.5 is lower than the ratio existing for the current month of the market price for butter and nonfat dry milk solids to the price of cheese there shall be a reduction of 1 cent per pound of butterfat in the price otherwise established for milk utilized for cheese. This will provide a relatively prompt downward adjustment in the price for milk used for cheese whenever the price of cheese becomes relatively low, and such adjustment will be at double the rate at which the price of milk both for butter and cheese is now increased when the market price of cheese is unusually high in relation to butter and nonfat dry milk solids. The market prices of butter and nonfat dry milk solids in relation to the market price of cheese has not deviated from the ratio of 2.5 during any month since November 1952. The ratio was less than 2.5 during the months of September, October, and November 1952 resulting in a slight increase in the price of milk for butter and cheese during those months. The only time during the past three years when the ratio was higher than 2.5 was during the period November 1951 through March 1952. Being applicable only during the months of March through July, the proposed new provision would have operated to reduce the price only during the month of March 1952.

Except for this revision in the butter-cheese adjustment, designed to facilitate the utilization of milk for cheese at times when such utilization is necessary, there should be no change in relationship between the price established for milk for butter and cheese and the price established for other Class III uses. Any further widening of the differential between the price of milk for butter and cheese and the price of other Class III milk, as would result, for example, from adoption of the proposal to discontinue adding 2 cents to the butter price in calculating the price of milk for butter, would have the undesirable effect of making the utilization of milk in butter and cheese more advantageous than at present in relation to other Class III uses. The adjustments herein provided effecting the general level of the Class III price apply, of course, to milk used for butter, and appear to constitute a more appropriate means of adjusting the price of milk for butter than to change the present pricing arrangement in a way which might result in unnecessary shifts of milk to butter from other Class III uses.

A proposal was considered at the hearing that the price for milk used for milk chocolate and other candy products be established at the same level as for butter and cheese. It was contended in support of the proposal that milk solids and butterfat in concentrated form are available from Midwest plants (condenseries) operated by the proponent chocolate manufacturer at a price about 15 cents below the price paid a pool plant handler for fresh bulk whole fluid milk. The reported comparative cost of concentrated supplies from plants of the same company was not shown to have been arrived at in a manner suitable for use as a basis for pricing pool milk. Such comparative cost apparently was calculated from an assigned cost of such milk to the shipping plant of less than the price paid to farmers at the plant. It was characterized by the proponent as extra milk "dumped" on the market for whatever they could get. There would be no apparent stopping point if pool milk was to be priced on that basis. It was not shown that, except for such "dumped" milk, that alternative supplies are available for chocolate manufacture at prices below the full Class III price. If they are, there appears to be no reason why such supplies are available only to chocolate manufacturers, and not to such other users of Class III milk as ice cream manufacturers. The record does not justify a provision pricing milk for milk chocolate and other candy products lower than for other Class III uses particularly in view of the overall reduction in price applicable in May and June.

The rejection, except to the limited extent herein provided, of proposals for the pricing of certain uses of Class III milk independently is largely in recognition of the manner in which milk in excess of fluid requirements has been utilized since the present pricing system was adopted in 1949. The volume of Class III milk in 1953 was 1,719 million

pounds larger than the volume of pool milk in equivalent uses in 1948, an increase of about 110 percent. A reduction from 1948 to 1953 of 20 million pounds in the volume of milk used for storage cream means that the volume in other uses was 1,739 million pounds larger in 1953 than in 1948.

Increases in volumes for other uses from 1948 to 1953 were (in millions of pounds): for fluid cream outside the marketing area—from 161 to 715, an increase of 344 percent; for ice cream—from 337 to 770, an increase of 128 percent; cream cheese—from 21 to 111, an increase of 429 percent; for whole milk products other than American cheese—from 387 to 423, an increase of 9 percent; for Cheddar cheese—from 185 to 299, an increase of 62 percent; and for butter—from 131 to 643, an increase of 391 percent.

Nearly two-thirds of the increase in volume has gone into uses to which the full Class III price applies. Nevertheless, there has been a marked increase in the actual volume used for butter and cheese. The proportion of all Class III milk used for butter and cheese increased from about 20 percent in 1948 to about 29 percent in 1953. Actual volume in these uses was about 3 times larger in 1953 than in 1948. Milk for fluid cream has increased about 4½ times and in terms of actual volume is greater than the increase in the volume used for butter. Ice cream constitutes the largest single outlet for Class III milk and the volume so used has more than doubled since 1948. The increase in actual volume, however, has been less than for butter. The volume of pool milk used for ice cream in 1953 in relation to the volume of ice cream produced in the Northeast is much larger than in 1948 and has increased in 1953 after dropping slightly in 1951 and 1952 from the levels of 1949 and 1950. In spite of the rather substantial gains in expanding outlets for Class III milk in uses yielding a higher return to producers than for milk used for butter and cheese, the fact that a larger proportion of the Class III milk was used for butter and cheese in 1953 than in 1948 does not appear to support a pricing program under which economic incentives for utilizing Class III milk for other than butter and cheese would be reduced.

The conclusion to eliminate use of the Boston weighted average cream price in establishing the price of Class III milk during the months of August through February has been reached primarily on evidence indicating that it does not constitute a satisfactory measure of the value of Class III milk under existing conditions.

The Boston weighted average cream price has been used in calculating the Class III price on the belief that it was the best available measure of the value of Class III butterfat during periods when milk in excess of fluid requirements is in relatively short supply. It does not appear, however, that the Boston weighted average cream price serves that purpose satisfactorily with the increase in the volume of Class III milk recently prevailing and in prospect for this year. The volume of Class III milk during the months of August through February has increased materially while at the same time the volume of cream used in computing the Boston weighted average has declined. During the period August through February 1952–1953 and 1953–1954, the volume of Class III milk was 38 and 52 percent, respectively, higher than for the same period 1950–1951. The volume of Class III milk used in butter was about ten times larger during the period August through February 1952–1953 than for the same period 1950–1951. The volume of cream in the Boston weighted average declined nearly 50 percent during the three year period and for the months of August through February 1952–1953 represented a milk equivalent only about one-fourth as large as the volume of pool milk used for butter.

Notwithstanding, this material increase in the volume of Class III milk, however, and the decline in the volume of cream in the Boston weighted average, the price per pound of butterfat based on the Boston weighted average cream price averaged about 4 cents higher that the Class III formula price per pound of butterfat based on butter during the period August 1952 through February 1953. It was during this period particularly that handling margins on milk for fluid purposes were reported to have been depressed. Handlers also reported considerable difficulty in disposing of Class III milk on reasonable terms during this period.

Again during the period August 1953 through February 1954, the volume of Class III milk was at a relatively high level and greatly exceeded the milk equivalent of cream used in computing the Boston weighted average cream price. For three of those months no Boston weighted average was published due to the extremely small volume of cream traded in the Boston market. Instead of being higher than the price of butterfat in butter, as was the case during the last half of 1952, the price of butterfat in Boston cream averaged slightly less during the months August 1953 through February 1954 than the price of butterfat in butter. This change in relationship in 1952–1953 makes it appear extremely doubtful that the Boston weighted average cream price continues to reflect the value of Class III milk with a reasonable degree of accuracy under existing conditions. Fluctuations in the margin in the price of butterfat reflected in the Boston weighted average cream price over the price of butterfat in butter do not appear to coincide with changes in the market value of most of the products for which Class III milk is utilized. Uncertainty as to what this relationship will be from one month to the next under a given set of circumstances was reported to have an adverse effect upon efforts to maintain and expand outlets for Class III milk, particularly for use in ice cream.

The disadvantages of retaining the Boston weighted average cream price as a basis for pricing that portion of Class III milk used for fluid cream outside the marketing area, as distinguished from Class III milk for other uses, appear to out-weigh the advantages to be derived. Such modification was suggested at the hearing. It was not established, however, that the Boston weighted average cream price can be relied upon to reflect the value of Class III milk for fluid cream more accurately than for other purposes. Furthermore, it was shown that such a pricing arrangement would tend to jeopardize outlets for Class III milk for reasons associated with the necessity thus created for more complete verification of utilization at nonpool plants utilizing Class III milk. Although difficult to measure with accuracy, it is concluded that this faotor could reasonably be expected to virtually offset any minor enhancement in returns to producers which would result from use of the Boston weighted average in establishing the price of milk used for fluid cream.

Even though the Boston weighted average cream price is found to be no longer suitable for the purpose, some provision should be made in the order for reflecting the higher value of Class III milk which appears to be obtainable at times when there is a smaller volume of Class III milk to be disposed of. While other factors may be involved affecting the marketability of Class III milk, the volume to be disposed of appears to be one of the major factors in determining the price obtainable. With the volume of Class III milk which prevailed prior to 1952 the price established for Class III milk during the months of August through February was somewhat higher than would have resulted from the use of New York 92-score butter plus 2 cents, the level at which it was priced during the months of March through July. The average premium over butter plus 2 was equivalent to slightly more than 3 cents per pound of butter for the August through February periods ending in 1951 and 1952.

During those years, however, the outlets for Class III milk continued to expand and the difficulties experienced in disposing of Class III milk were less pronounced than during the past two years when the volume of Class III milk became substantially higher. The larger volume of Class III milk which has prevailed in 1952 appears to be associated with marketing conditions under which it is difficult to obtain as high a price for Class III milk as formerly. Under these circumstances, it appears appropriate to make provision for increasing the price of Class III milk by the addition of an additional premium over the market price of butter whenever the volume of Class III milk approximates the level prevailing during the years 1950 and 1951.

As a means of effectuating that principle, it seems appropriate to relate the price of Class III milk during the months of August through February to the utilization adjustment percentage which is now used in calculating the price of Class I–A milk. This percentage reflects the relative volume of pooled milk in excess of Class I uses, and is announced for each month by not later than the 25th day of the preceding month. Calculation of a separate Class III percentage by omission of the percentage of milk utilized in Class II would make no significant difference in the result ob-

tained. The utilization adjustment percentages for the months of August through February ending in 1951–1952 averaged slightly in excess of 92. There has been no month since February 1952 for which the utilization adjustment percentage has been as high as 92. There were nine months during the 2-year period ending in February 1952 for which the utilization adjustment percentage was 92 or higher. Accordingly, it is concluded that an additional 3 cents, or a total of 5 cents, should be added to the New York market price for 92-score butter during any of the months of August through February for which the utilization adjustment percentage is 92 or higher. This should result in a Class III price during the month of August through February averaging about the same as in 1950 and 1951 in relation to the market price of butter, while at the same time eliminating the unpredictable month to month fluctuations in relation to the market price of butter.

General findings. (a) The tentative marketing agreement and the order as amended, and as hereby proposed to be further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(b) The parity prices of milk as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply of and demand for milk in the marketing area, and the minimum prices specified in the tentative marketing agreement and in the order, as amended, and as hereby proposed to be further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The tentative marketing agreement and the order, as amended, and as hereby proposed to be further amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity, specified in a marketing agreement upon which a hearing has been held.

Rulings on proposed findings and conclusions. Briefs were filed on behalf of interested persons. The briefs contained suggested findings of facts, conclusions, and arguments with respect to the proposals considered at the hearing. Every point covered in the briefs was carefully examined along with the evidence in the record in making the findings and reaching the conclusions hereinbefore set forth. To the extent that the suggested findings and conclusions are inconsistent with the findings and conclusions contained herein, the request to make such findings or to reach such conclusions is denied.

Recommended marketing agreement and order. The following amendments to the order are recommended as the detailed and appropriate means by which the foregoing conclusions may be carried out. The proposed amendments to the tentative marketing agreement are not repeated in this decision because the regulatory provisions thereof would be the same as those contained in the order with the following amendments:

1. Amend § 927.40 (f) to read as follows:

(f) For Class III milk, the price shall be the sum of the amounts computed pursuant to subparagraphs (1) and (2) of this paragraph minus 80 cents: *Provided,* That for the months of May and June 1954 an additional 10 cents shall be subtracted from such sum.

(1) To the simple average of the daily wholesale selling prices per pound (using the midpoint of any price range as one price) reported during such month by the United States Department of Agriculture for Grade A (92-score) bulk creamery butter in the New York City market, add two cents and multiply by 1.22: *Provided,* That for any of the months from August through February for which the utilization adjustment percentage announced pursuant to § 927.46 (a) (2) is 92 or larger, there shall be an additional three cents added to such average butter price.

(2) Multiply by 7.8 the weighted average, as computed by the market administrator using a weight of 70 for roller process prices and a weight of 30 for spray process prices, of the prices per pound of roller process and spray process nonfat dry milk solids, for human consumption in carlots f. o. b. manufacturing plants in the Chicago area, as published by the United States Department of Agriculture for the period from the 26th day of the immediately preceding month through the 25th day of the current month.

2. Amend § 927.43 by adding after the first proviso therein, the following: "*Provided further,* That for milk received from producers during any of the months of March through July which is classified on the basis of one of the types of cheese named in this section, the amount so credited shall be increased one cent per pound of butterfat for each five hundredths by which the ratio of 2.5 is lower than the ratio computed pursuant to the first proviso of this section."

3. Amend paragraph (b) of § 927.46 by deleting subparagraph (5) thereof, and by renumbering other subparagraphs accordingly.

Filed at Washington, D. C., this 24th day of March 1954.

[SEAL] ROY W. LENNARTSON,
Deputy Administrator.

[F. R. Doc. 54-2207; Filed, Mar. 26, 1954; 8:50 a. m.]

[7 CFR Part 949]

[Docket No. AO-232-A-2]

HANDLING OF MILK IN SAN ANTONIO, TEXAS, MARKETING AREA

DECISION WITH RESPECT TO PROPOSED AMENDMENTS TO THE TENTATIVE MARKETING AGREEMENT AND TO THE ORDER, AS AMENDED

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and marketing orders (7 CFR Part 900), a public hearing was conducted at San Antonio, Texas, on January 11–12, 1954, pursuant to notice thereof which was issued on January 6, 1954 (19 F. R. 71).

Upon the basis of the evidence introduced at the hearing and the record thereof, the Deputy Administrator, Production and Marketing Administration, on March 2, 1954, filed with the Hearing Clerk, United States Department of Agriculture, his recommended decision and opportunity to file written exceptions thereto which was published in the FEDERAL REGISTER on March 5, 1954 (19 F. R. 1252).

Within the period reserved, no exceptions were filed to the findings, conclusions and actions recommended by the Deputy Administrator.

The material issues of record were concerned with:

1. The pricing of Class I milk, and
2. The classification and pricing of milk presently classified as Class II milk.

A decision of the Secretary of Agriculture issued January 28, 1954 (19 F. R. 561) and subsequent amendment to the order disposed of the issue concerned with the pricing of Class I milk and that portion of the issue concerned with the pricing of Class II milk which related to the pricing of milk disposed of for the manufacture of cheddar cheese through July 1954.

Findings and conclusions. The findings and conclusions with respect to the material issues herein decided, all of which are based on the evidence introduced at the hearing and the record thereof, are as follows:

1. The Class II pricing provisions of the order should be modified to promote more orderly marketing of reserve supplies of producer milk.

The present Class II pricing provisions of the order have hindered the maximum utilization of available supplies of producer milk by handlers in the San Antonio market. On a market wide basis, the supply of producer milk has been extremely short in relation to Class I sales. In spite of this fact, some handlers have at times refused to accept all of the milk from producers and transferred the burden of finding outlets to individual producers or their cooperative association. Handlers have procured other source milk for Class II usage at the same time producer milk has been refused.

Receipts of producer milk during the last six months of 1953 exceeded receipts during the corresponding period a year ago by more than 15 percent. Class I sales remained at about the same level. With indications that reserve supplies will be much larger during the spring and summer months than in the past, a separate lower price for milk used for cheddar cheese was incorporated in the order (19 F. R. 575) for a limited period of 1954. At the same time Class I prices were reduced. This emergency action was taken to encourage greater usage of producer milk in Class I and to facilitate the disposal of reserve producer milk

which must be marketed outside of normal marketing channels. The present Class II pricing formula was included in the order when it was promulgated in 1952. At that time the market was extremely deficient in local producer milk. The record indicates that with increased production, a somewhat lower level of Class II prices will contribute to the full marketing of producer milk by handlers and the maximizing of returns to producers. Milk that now may be temporarily diverted to cheese plants at relatively low prices could be used by handlers at the regular Class II price.

The principal Class II uses for reserve milk by handlers are in ice cream, condensed skim milk, cottage cheese, and butter. Because of past shortages of locally produced milk, few handlers now have condensing facilities or cottage cheese equipment. Handlers testified that milk ingredients for ice cream, frozen desserts, and cottage cheese were purchased from outside sources at less than order prices. Considerable quantities of reserve producer milk could be utilized by handlers in place of other source milk in meeting their requirements for these products. With a general trend to higher receipts of producer milk and the presence of some reserve supplies above Class I sales, it is necessary to readjust the level of Class II prices to afford producers an outlet for these supplies through handlers' fluid milk plants.

The record shows that a butter and nonfat solids formula is an appropriate basis for reflecting changes in Class II prices in this market during most of the year. However, there is some problem in pricing on this basis during the flush production season. The record indicates that manufacturing milk prices rather than dairy product prices may be a more appropriate basis of pricing during this season of the year.

For the immediate future, the problems of pricing Class II milk in this market are those of (1) a closer alignment of butterfat prices with prices at which handlers can procure butterfat from outside sources and (2) a closer alignment of whole milk prices with competitive manufacturing prices particularly during the flush production season.

This may be accomplished by modifying the butterfat component of the present Class II butter and nonfat solids formula and by applying prices paid by manufacturing plants for ungraded milk during April through June of each year.

Producers proposed that the present Class II butter and nonfat solids formula be amended to reduce the price for 4.0 percent milk approximately 38 cents per hundredweight based on the 1953 level of butter prices.

The butterfat component of the present formula price for 4.0 percent milk is derived by subtracting three cents from the Chicago wholesale 92-score butter price and multiplying by a factor of 4.8. The Class II butterfat differential is 0.120 times the price of butter.

The record indicates that the present factors for determining butterfat values results in prices for butterfat at considerably higher levels than butterfat can be procured from outside sources or at which it could be disposed of by handlers to local unapproved plants. It is concluded that the Clas II pricing formula should be changed by using the 92-score butter price multiplied by a factor of 4.4 for the period of July through March. At the current level of butter prices, this change will have the effect of reducing the Class II formula price for 4.0 percent milk during these months approximately 12 cents per hundred.

During the months of April through June the Class II price should be the average price paid dairy farmers for ungraded milk of 4.0 percent butterfat content by the following Texas manufacturing plants:

Carnation Company, Sulphur Springs, Tex.
The Borden Company, Mount Pleasant, Tex.
Lamar Creamery, Paris, Tex.

These plants are located in Northeastern Texas and are used in certain months as a basis for pricing Class II milk under the North Texas Order (943). One of these plants disposes of ice cream mix and other products in the San Antonio area in direct competition with regulated handlers. There are no sizable manufacturing plants located in the San Antonio area which engage in manufacturing operations and procure a major portion of their supplies of milk from ungraded dairy farmers. There are plants, in this general area, however, which purchase graded surplus milk from other markets and small quantities of ungraded milk from farmers. These plants are available sources of cream and nonfat solids for handlers. The record contains little or no information, however, with respect to prices paid for milk at such plants.

As a further means of assuring appropriate prices for Class II milk, provision should be made to apply the three-plant manufacturing milk price in any month that it is higher than the price resulting from the butter and nonfat milk solids formula.

The adoption of the paying price of the above stated plants during the months of April through June of 1953 would have reduced the Class II price for 4.0 percent milk from $3.85 to $3.38 per hundredweight, a reduction of 47 cents per hundredweight.

The average butterfat content of Class II producer milk has been considerably above 4.0 percent. It has ranged from approximately 5.0 percent in the spring months to more than 10 percent in other months. Therefore, the Class II butterfat differential has a significant effect on the cost of Class II milk. The Class II butterfat differential should be reduced from 0.120 to 0.108 times the price of 92-score butter. This reduction in the butterfat differential will bring the price of butterfat derived from producer milk in close alignment with prices of butterfat procured in the form of cream from other sources.

It is concluded that the proposed changes will provide appropriate prices for Class II milk and promote more orderly marketing of reserve supplies of producer milk.

General findings. (a) The tentative marketing agreement and the order as amended, and as hereby proposed to be further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(b) The parity prices of milk as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply of and demand for milk in the marketing area, and the minimum prices specified in the tentative marketing agreement and in the order, as amended, and as hereby proposed to be further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The tentative marketing agreement and the order, as amended, and as hereby proposed to be further amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity, specified in a marketing agreement upon which a hearing has been held.

Determination of representative period. The month of January 1954, is hereby determined to be the representative period for the purpose of ascertaining whether the issuance of an order amending the order, as amended, regulating the handling of milk in the San Antonio, Texas, marketing area in the manner set forth in the attached amending order is approved or favored by producers who, during such period, were engaged in the production of milk for sale in the marketing area specified in such order, as amended.

Marketing agreement and order. Annexed hereto and made a part hereof are two documents entitled respectively "Marketing Agreement Regulating the Handling of Milk in the San Antonio, Texas, Marketing Area," and "Order Amending the Order, as amended, Regulating the Handling of Milk in the San Antonio, Texas, Marketing Area." which have been decided upon as the detailed and appropriate means of effectuating the foregoing conclusions. These documents shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

It is hereby ordered that all of this decision, except the attached marketing agreement, be published in the FEDERAL REGISTER. The regulatory provisions of said marketing agreement are identical with those contained in the order as amended, and as hereby proposed to be further amended by the attached order, which will be published with this decision.

This decision filed at Washington, D. C., this 24th day of March 1954.

[SEAL] JOHN H. DAVIS,
Assistant Secretary of Agriculture.

Order[1] as Amended, Regulating the Handling of Milk in the San Antonio, Texas, Marketing Area

§ 949.0 *Findings and determinations.* The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order and of each of the previously issued amendments thereto; and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held upon proposed amendments to a tentative marketing agreement and to the order, as amended, regulating the handling of milk in the San Antonio, Texas, marketing area. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The said order, as amended, and as hereby further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(2) The parity prices of milk produced for sale in the said marketing area as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds and other economic conditions which affect market supplies of and demand for such milk, and the minimum prices specified in the said order, as amended, and as hereby further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk and be in the public interest;

(3) The said order, as amended, and as hereby further amended, regulates the handling of milk in the same manner as and is applicable only to persons in the respective classes of industrial and commercial activity specified in a marketing agreement upon which a hearing has been held.

Order relative to handling. It is therefore ordered that on and after the effective date hereof the handling of milk in the San Antonio, Texas, marketing area shall be in conformity to and in compliance with the terms and conditions of this order, as amended, and as hereby further amended, and the aforesaid order, as amended, is hereby further amended, as set forth below:

1. Delete § 949.53 and substitute therefor the following:

§ 949.53 *Class II milk.* The prices, rounded to the nearest full cent, for Class II milk shall be determined pursuant to paragraph (a) of this section for the months of April, May, and June and the higher of the prices determined pursuant to paragraphs (a) and (b) of this section for all other months: *Provided,* That from the effective date of this proviso through July 1954 the price for Class II milk disposed of for use in cheese other than cottage cheese shall be the simple average of the prices paid dairy farmers for milk containing 4 percent of butterfat delivered during the month for which prices are being computed to cheese plants located at Alice and Round Rock, Texas, and operated by the Fort Worth Poultry and Egg Company.

(a) The average of the basic or field prices per hundredweight reported to have been or to be paid for milk of 4.0 percent butterfat content received from farmers during the month at the following plants or places for which prices have been reported to the market administrator or to the United States Department of Agriculture:

Carnation Co., Sulphur Springs, Tex.
The Borden Co., Mount Pleasant, Tex.
Lamar Creamery, Paris, Tex.

(b) The sum of the amounts computed pursuant to subparagraphs (1) and (2) of this paragraph:

(1) Multiply by 4.4 the simple average as computed by the market administrator of the daily wholesale selling prices (using the midpoint of any price range as one price) of Grade A (92-score) bulk creamery butter per pound at Chicago as reported by the United States Department of Agriculture during the month;

(2) From the average of the carlot prices per pound of nonfat dry milk solids for human consumption, spray process, f. o. b. manufacturing plants in the Chicago area as reported by the United States Department of Agriculture for the period from the 26th day of the preceding month through the 25th day of the current month, subtract 5 cents, multiply by 8.16.

2. In § 949.54 (b) delete "0.120" and substitute therefor "0.108".

[F. R. Doc. 54-2166; Filed, Mar. 26, 1954; 8:47 a. m.]

[7 CFR Part 995]

[Docket No. AO-197-A2]

Handling of Milk in the Lima, Ohio, Marketing Area

Notice of Extension of Time for Filing Exceptions to Recommended Decision With Respect to Proposed Amendments to Tentative Marketing Agreement and to Order, as Amended

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), notice is hereby given that the time for filing exceptions to the recommended decision, with respect to a proposed marketing agreement and a proposed order, amending the order, as amended, regulating the handling of milk in the Lima, Ohio, marketing area, which was issued March 5, 1954 (19 F. R. 1343), is hereby extended to April 2, 1954.

Dated: March 24, 1954, at Washington, D. C.

[SEAL] Roy W. Lennartson,
Deputy Administrator.

[F. R. Doc. 54-2165; Filed, Mar. 26, 1954; 8:46 a. m.]

DEPARTMENT OF LABOR

Wage and Hour Division

[29 CFR Parts 703, 710]

Puerto Rico; Special Industry Committee No. 15

Notice of Hearing on Minimum Wage Recommendations for Corsets, Brassieres, and Allied Garments Industry; and Men's and Boys' Clothing and Related Products Industry

March 22, 1954.

The Administrator of the Wage and Hour Division of the United States Department of Labor, acting pursuant to the Fair Labor Standards Act of 1938, as amended (52 Stat. 1060, as amended; 29 U. S. C. 201 et seq.), on December 8, 1953, by Administrative Order No. 433 appointed Special Industry Committee No. 15 for Puerto Rico[1] to investigate conditions and to recommend minimum wages for employees engaged in commerce or in the production of goods for commerce in a number of industries in Puerto Rico including the Corsets, Brassieres, and Allied Garments Industry, and the Men's and Boys' Clothing and Related Products Industry.

The Committee included three disinterested persons representing the public, a like number representing employees in these industries, and a like number representing employers in these industries.

The Committee has defined and made separate minimum wage recommendations for each of these industries and the divisions thereof, and has duly filed reports containing their recommendations with the Administrator, pursuant to section 8 (d) of the act and § 511.9 of the regulations issued under the act.

The Administrator is required by section 8 (d) of the act, after giving due notice to interested persons and affording them opportunity to be heard, to approve and carry into effect each of the recommendations of the Committee if he finds that the recommendations are made in accordance with law, are supported by the evidence adduced at the hearing and, taking into consideration the same factors as are required to be considered by the industry committee, will carry out the purposes of section 8 of the act. If he finds otherwise, he is required to disapprove such recommendations.

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[1] This order shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

[1] Published in the Federal Register December 11, 1953 (18 F. R. 8139), as amended by Administrative Order No. 434 (19 F. R. 72); Administrative Order No. 435 (19 F. R. 187); Administrative Order No. 437 (19 F. R. 356); and Administrative Order No. 439 (19 F. R. 839).

Now, therefore, notice is hereby given that:

A. The separate minimum wage recommendations of Special Industry Committee No. 15 for employees engaged in commerce or in the production of goods for commerce in the above-named industries in Puerto Rico are as follows:

Industry and Recommended Minimum

1. Corsets, Brassieres, and Allied Garments Industry, 55 cents an hour.
2. Men's and Boys' Clothing and Related Products Industry: a. Suits, Coats, and Jackets Division, 55 cents an hour.
b. Necktie Division, 55 cents an hour.
c. Hat and Cap Division, 55 cents an hour.
d. General Division, 47½ cents an hour.

B. The definitions of the above-named Industries in Puerto Rico (as set forth in Administrative Order No. 433) and of the separate divisions thereof, for which Special Industry Committee No. 15 for Puerto Rico has made the foregoing separate minimum wage recommendations, are as follows:

1. *Corsets, Brassieres, and Allied Garments Industry.* The manufacture of corsets, brassieres, brassiere pads, girdles, sanitary belts, foundation garments, and similar items.

After due consideration the Committee determined that no classification within the Corsets, Brassieres, and Allied Garments Industry in Puerto Rico was justified for purposes of the act.

2. *Men's and Boys' Clothing and Related Products Industry.* The manufacture from any material of men's and boys' clothing and related products, including, but without limitation, suits, coats, overcoats, trousers, shirts, underwear, nightwear, work clothing, sportswear (including bathing suits, riding habits and athletic uniforms), heavy outerwear, neckties, caps, hats (except hand-made straw hats), belts (except leather belts), robes and dressing gowns, raincoats, suspenders, garters, academic caps and gowns, vestments, costumes, and other items of apparel and accessories (except gloves, handkerchiefs, scarves and mufflers, hosiery and shoes).

The Committee recommended that the Men's and Boys' Clothing and Related Products Industry, as defined in Administrative Order No. 433, be divided into separable divisions for the purpose of fixing minimum wage rates, and that these separable divisions be entitled and defined as follows:

(a) *Suits, Coats, and Jackets Division.* The manufacture of men's, youths' and boys' suits, coats and jackets (except cotton work coats and jackets), overcoats, topcoats, fabric raincoats, and similar outerwear.

(b) *Necktie Division.* The manufacture of men's, youths' and boys' neckties.

(c) *Hat and Cap Division.* The manufacture of men's, youths', and boys' hats and caps.

(d) *General Division.* The manufacture of all products included in the Men's and Boys' Clothing and Related Products Industry in Puerto Rico, as defined herein, except those included in the Suits, Coats and Jackets Division, the Necktie Division, and the Hat and Cap Division, as defined herein.

C. The full texts of the reports and recommendations of Special Industry Committee No. 15 for Puerto Rico for each of the above industries will be available for inspection by any person between the hours of 9:00 a. m. and 4:30 p. m. at the following offices of the United States Department of Labor, Wage and Hour Division:

18 Oliver Street, Boston 10, Mass.
525 Lafayette Building, 437 Chestnut Street, Philadelphia 6, Pa.
216 Engineers Building, 1365 Ontario Avenue, Cleveland 14, Ohio.
600 Federal Office Building, 911 Walnut Street, Kansas City 6, Mo.
150 Fulton and Leavenworth Streets, San Francisco 2, Calif.
Fourteenth Street and Constitution Avenue NW., Washington 25, D. C.
900 U. S. Parcel Post Building, 341 Ninth Avenue, New York 1, N. Y.
1007 Comer Building, 2026 Second Avenue North, Birmingham 3, Ala.
105 West Adams Street, Chicago 3, Ill.
222 Fidelity Building, 1114 Commerce Street, Dallas 2, Tex.
United States Court House, 801 Broad Street, Nashville 3, Tenn.
412 New York Department Store Building, Post Office Box 9061, Santurce 29, P. R.

Copies of the Committee's reports and recommendations may be obtained by any person upon request addressed to the Administrator of the Wage and Hour Division, United States Department of Labor, Washington 25, D. C., or the Wage and Hour Division, United States Department of Labor, Room 412 New York Department Store Building, Stop 16½ Ponce de Leon Avenue, Santurce, San Juan, Puerto Rico.

D. Public hearings will be held at 10:00 a. m. on the dates and at the places set forth below before the Administrator of the Wage and Hour Division or a representative designated to preside in his place, for the purpose of taking evidence on the question of whether the separate recommendations of Special Industry Committee No. 15 for Puerto Rico set forth above shall be approved or disapproved.

Corsets, Brassieres, and Allied Garments Industry; April 27, 1954, in Room 5406, Department of Labor Building, Washington 25, D. C.

Men's and Boys' Clothing and Related Products Industry; May 5, 1954, in Room 5406, Department of Labor Building, Washington 25, D. C.

E. Any interested person supporting or opposing any of the recommendations of Special Industry Committee No. 15 for Puerto Rico which are set forth above may appear at any of the aforesaid hearings to offer evidence either on his own behalf or on behalf of any other person; provided that, not later than seven days preceding any hearing at which he intends to appear, such person shall file with the Administrator of the Wage and Hour Division, United States Department of Labor, Washington 25, D. C., or the Office of the Wage and Hour Division, United States Department of Labor, Room 412, New York Department Store Building, Stop 16½, Ponce de Leon Avenue, Santurce, San Juan, Puerto Rico, notice of his intention to appear which shall contain the following information:

1. The name and address of the person appearing;
2. If such person is appearing in a representative capacity, the name and address of the person or persons whom he is representing;
3. The recommendation or recommendations of Special Industry Committee No. 15 for Puerto Rico in which he is interested and whether he proposes to appear for or against such recommendation or recommendations;
4. The approximate length of time requested for his presentation.

Such notice may be mailed to either of the offices indicated above and will be considered as filed upon receipt.

F. The records made at the public hearing on conditions in the above named industries in Puerto Rico held before Special Industry Committee No. 15 in Santurce, San Juan, Puerto Rico may be examined at the Offices of the Wage and Hour Division, United States Department of Labor, at Fourteenth Street and Constitution Avenue NW., Washington 25, D. C., and Room 412, New York Department Store Building, Stop 16½, Ponce de Leon Avenue, Santurce, San Juan, Puerto Rico. The records of the public hearing before the Industry Committee with respect to each of the above named industries will be available for 30 days prior to the date fixed herein for the hearing on the Committee's recommendations for such industry. Such records for each industry will be offered in evidence at the appropriate public hearing before the Administrator or the his representative.

G. The hearings will be conducted in accordance with the following rules, subject, however, to such subsequent modifications by the Presiding Officer (the Administrator or his authorized representative) as are deemed appropriate.

1. The hearings shall be stenographically reported and a transcript made which will be available to any person at prescribed rates upon request addressed to the Administrator, Wage and Hour Division, United States Department of Labor, Constitution Avenue and Fourteenth Street NW., Washington 25, D. C.
2. At the discretion of the Presiding Officer, the hearing may be continued from day to day or adjourned to a later date, or to a different place by announcement thereof at the hearing, or by other appropriate notice.
3. At any stage of the hearing, the Presiding Officer may call for further evidence upon any matter. After the hearing has been closed, no further evidence shall be taken, except at the request of the Administrator, unless provision has been made at the hearing for the later receipt of such evidence. In the event that the Administrator shall cause the hearing to be reopened for the purpose of receiving further evidence, due and reasonable notice of the time and place fixed for such taking of testimony shall be given to all persons who have filed a notice of intention to appear at the hearing.
4. All evidence must be presented under oath or affirmation.
5. Except as otherwise permitted by the Presiding Officer, written documents or exhibits submitted personally at the

hearing must be offered in evidence by a person who is prepared to testify as to the authenticity and trustworthiness thereof, and who shall, at the time of offering the documentary exhibit, make a brief statement as to the contents and manner of preparation thereof. Written, sworn statements may be filed any time prior to the date of hearing by persons who cannot appear personally.

6. Written documents and exhibits shall be tendered in quadruplicate. When evidence is embraced in a document containing matter not intended to be put in evidence, such document will not be received, but the person offering the same may present to the Presiding Officer the original document together with two copies of those portions of the document intended to be put in evidence.

7. Subpoenas requiring the attendance of witnesses or the presentation of a document from any place in the United States at any designated place of hearing shall be issued by the Administrator upon request and upon a timely showing, in writing, of the general relevance and reasonable scope of the evidence sought. Any person appearing in the proceeding may apply to the Administrator for the issuance of the subpoena. Such application shall identify exactly the witness or document and state fully the nature of the evidence proposed to be secured.

8. Witnesses summoned by the Administrator shall be paid the same fees and mileage as are paid witnesses in the Courts of the United States. Witness fees and mileage shall be paid by the party at whose instance witnesses appear, and the Administrator before issuing a subpoena may require a deposit of an amount adequate to cover the fees and mileage involved.

9. The rules of evidence prevailing in courts of law or equity shall not be controlling. However, it shall be the policy to exclude irrelevant, immaterial, or unduly repetitious evidence.

10. The Presiding Officer shall, upon request, permit any person appearing in the proceeding to conduct such cross examination of any witness offered by another person as may be required for a full and true disclosure of the facts, and to object to the admission or exclusion of evidence. Objections to the admission or inclusion of evidence shall be stated briefly with the reasons relied on. Such objections shall become a part of the record, but this record shall not include argument thereon except as ordered by the Presiding Officer.

11. Before the close of the hearing, written requests shall be received from persons appearing in the proceeding for permission to make oral arguments before the Administrator upon the matters in issue. If the Administrator, in his discretion allows the request, he shall give such notice thereof as he deems suitable to all persons appearing in the proceeding and shall designate the time and place at which the oral arguments shall be heard. If such requests are allowed, all persons appearing at the hearing will be given opportunity to present oral argument.

12. Briefs (4 copies) on particular questions may be submitted to the Administrator following the close of the hearing, by any persons appearing therein. Notice of the final dates for filing such briefs shall be given by the Administrator in such manner as shall be deemed suitable by him.

13. (a) Where the hearing is held before the Administrator, within fifteen (15) days after the close of the hearing, any interested person appearing at the hearing may submit for the consideration of the Administrator an original and four copies of a statement, in writing, containing proposed findings and conclusions, together with supporting reasons therefor.

(b) Where the hearing is held before a representative of the Administrator designated to preside in his place, a complete record of proceedings shall be certified to the Administrator upon the close of the hearing. The Administrator shall thereupon issue a tentative decision in the matter, which shall become a part of the record and include therein (1) a statement of his findings and conclusions, as well as the reasons or basis therefor, upon all of the material issues of fact, law or discretion presented upon the record, and (2) the appropriate order. Notice of the Administrator's tentative decision shall be published in the FEDERAL REGISTER.

(c) Within fifteen (15) days after such notice of the Administrator's tentative decision is published in the FEDERAL REGISTER, any interested person appearing at the hearing may file with the Administrator a statement in writing (original and four copies) setting forth any exceptions he may have to such decision, together with supporting reasons for such exceptions.

(d) After the expiration of the fifteen-day periods referred to in paragraphs 13 (a) and (c) above, and after consideration of all relevant matter presented as provided in such paragraphs, the Administrator shall make his final decision in the matter, and shall issue an order approving or disapproving the recommendations of the Industry Committee. Such order shall be published in the FEDERAL REGISTER.

14. Any wage order issued as a result of hearings held hereunder shall take effect 30 days after due notice is given of the issuance thereof by publication in the FEDERAL REGISTER, or at such time prior thereto as may be provided therein upon good cause found and published therewith.

Signed at Washington, D. C., this 22d day of March 1954.

WM. R. MCCOMB,
Administrator,
Wage and Hour Division.

[F. R. Doc. 54-2123; Filed, Mar. 26, 1954; 8:45 a. m.]

NOTICES

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

CALIFORNIA

NOTICE OF PROPOSED WITHDRAWAL AND RESERVATION OF LANDS

MARCH 22, 1954.

An application, serial number Los Angeles 0101904, for the withdrawal from all forms of appropriation under the public land laws, of the lands described below was filed on February 25, 1953, by the Department of the Navy.

The purposes of the proposed withdrawal: Military training.

For a period of 30 days from the date of publication of this notice, persons having cause to object to the proposed withdrawal may present their objections in writing to the Regional Administrator, Region II, Bureau of Land Management, Department of the Interior at 630 Sansome Street, San Francisco, California. In case any objection is filed and the nature of the opposition is such as to warrant it, a public hearing will be held at a convenient time and place, which will be announced, where opponents to the order may state their views and where proponents of the order can explain its purpose.

The determination of the Secretary on the application will be published in the FEDERAL REGISTER, either in the form of a public land order or in the form of a Notice of Determination if the application is rejected. In either case, a separate notice will be sent to each interested party of record.

The lands involved in the application are:

T. 11 N., R. 10 W., S. B. M.
Sec. 18, All.

L. T. HOFFMAN,
Regional Administrator.

[F. R. Doc. 54-2160; Filed, Mar. 26, 1954; 8:45 a. m.]

Office of the Secretary

[Order 2752]

FISH AND WILDLIFE SERVICE

DESIGNATION AND FUNCTIONS OF ACTING DIRECTOR

MARCH 22, 1954.

SECTION 1. *Succession.* (a) In the event of the absence, sickness, resignation, or death of the Director of the Fish and Wildlife Service, his duties shall be performed by an Assistant Director. If more than one Assistant Director is available the duties of the Director shall be performed by the Assistant Director whose appointment bears the earliest date.

(b) Albert M. Day, Assistant to the Director, shall perform the duties of the Director in the event of the absence, sickness, resignation or death of the Director and the Assistant Directors.

(c) Clarence Cottam, Assistant to the Director, shall perform the duties of the Director in the event of the absence, sickness, resignation or death of the Director, the Assistant Directors and Albert M. Day.

SEC. 2. *Title.* The officer performing under authority of section 1 of this order shall sign documents under the title "Acting Director."

SEC. 3. *Revocation.* Order No. 2743, dated January 7, 1954 (19 F. R. 252), is hereby revoked.

(Reorganization Plan No. 3 of 1950, 16 F. R. 3174)

DOUGLAS MCKAY,
Secretary of the Interior.

[F. R. Doc. 54-2162; Filed, Mar. 26, 1954; 8:45 a. m.]

WISCONSIN

ORDER RESTORING FORMER RAILROAD GRANT LANDS TO PUBLIC DOMAIN

Claims to the public lands in the State of Wisconsin within the limits of the grants made to the Northern Pacific Railroad, now Railway, Company by the act of July 2, 1864 (13 Stat. 365), and joint resolution of May 31, 1870 (16 Stat. 378), and acts amendatory thereof and supplemental thereto, the grants made to the State of Wisconsin by the acts of June 3, 1856 (11 Stat. 20), and May 5, 1864 (13 Stat. 66), and acts amendatory thereof and supplemental thereto, of which the Chicago, St. Paul, Minneapolis and Omaha Railway Company is successor in interest, the grants by these acts of which the Chicago and Northwestern Railway Company is successor, and the grant made by the act of June 3, 1856, and acts amendatory thereof and supplemental thereto of which the Wisconsin Central Railroad Company is successor, have been released under section 321b, Part II, Title III of the Transportation Act of 1940 (54 Stat. 954, 49 U. S. C. sec. 65), by the above-mentioned companies. Subject to existing valid rights and existing Forest and Indian and all other existing withdrawals and reservations, all of the lands, claims to which were released, located within the primary limits of the grants and such lands located in the indemnity limits for which selections were pending on September 18, 1940, are hereby made available for disposal, use and management under the public land laws in accordance with the terms of this order.

Applications for these lands under the homestead, small tract or other nonmineral public land laws will be allowed only if the land is classified pursuant to the application as valuable or suitable for the type of disposition applied for or has been previously so classified.

The lands restored include but are not limited to the following described tract: [1]

4TH P. M., WISCONSIN

T. 18 N., R. 17 E.,
Sec. 7, lot 6.

This order shall not otherwise become effective to change the status of such lands until 10:00 a. m., on the 35th day after the date of this order. At that time the said lands shall, subject to valid existing rights and the provisions of existing withdrawals, become subject to application, petition, location, and selection as follows:

(a) *Ninety-one day period for preference-right filings.* For a period of 91 days, commencing at the hour and on the day specified above, the public lands affected by this order shall be subject only to (1) application under the homestead or the desert-land laws or the Small Tract Act of June 1, 1938, 52 Stat. 609 (43 U. S. C. 682a), as amended, by qualified veterans of World War II and other qualified persons entitled to preference under the act of September 27, 1944, 58 Stat. 747 (43 U. S. C. 279-284), as amended, subject to the requirements of applicable law, and (2) application under any applicable public-land law, based on prior existing valid settlement rights and preference rights conferred by existing laws or equitable claims subject to allowance and confirmation. Applications under subdivision (1) of this paragraph shall be subject to applications and claims of the classes described in subdivision (2) of this paragraph. All applications filed under this paragraph either at or before 10:00 a. m. on the 35th day after the date of this order shall be treated as though filed simultaneously at that time. All applications filed under this paragraph after 10:00 a. m. on the said 35th day shall be considered in the order of filing.

(b) *Date for non-preference-right filings.* Commencing at 10:00 a. m. on the 126th day after the date of this order, any lands remaining unappropriated shall become subject to such application, petition, location, selection, or other appropriation by the public generally as may be authorized by the public-land laws. All such applications filed either at or before 10:00 a. m. on the 126th day after the date of this order, shall be treated as though filed simultaneously at the hour specified on such 126th day. All applications filed thereafter shall be considered in the order of filing.

A veteran shall accompany his application with a complete photostatic, or other copy (both sides), of his certificate of honorable discharge, or of an official document of his branch of the service which shows clearly his honorable discharge as defined in § 181.36 of Title 43 of the Code of Federal Regulations, or constitutes evidence of other facts upon which the claim for preference is based and which shows clearly the period of service. Other persons claiming credit for service of veterans must furnish like proof in support of their claims. Persons asserting preference rights, through settlement or otherwise, and those having equitable claims, shall accompany their applications by duly corroborated statements in support thereof, setting forth in detail all facts relevant to their claims.

Applications for these lands, which shall be filed in the office of the Regional Administrator, Region VI, Bureau of Land Management, Washington 25, D. C., shall be acted upon in accordance with the regulations contained in § 295.8 of Title 43 of the Code of Federal Regulations and Part 296 of that title, to the extent that such regulations are applicable. Applications under the homestead laws shall be governed by the regulations contained in Parts 166 to 170, inclusive, of Title 43 of the Code of Federal Regulations, and applications under the desert-land laws and the said Small Tract Act of June 1, 1938, shall be governed by the regulations contained in Parts 232 and 257, respectively, of that title.

Inquiries concerning these lands shall be addressed to the Regional Administrator, Region VI, Bureau of Land Management, Washington 25, D. C.

ORME LEWIS,
Assistant Secretary of the Interior.

MARCH 23, 1954.

[F. R. Doc. 54-2163; Filed, Mar. 26, 1954; 8:46 a. m.]

[1] In the preparation of this order, no effort has been made to ascertain and describe each and every tract affected. Facilities were not available at this time for the compilation of a complete and accurate list of the lands affected.

FEDERAL COMMUNICATIONS COMMISSION

[Docket No. 10945]

CARTHAGE BROADCASTING CO.

NOTICE OF PREHEARING CONFERENCE

In re application of Lloyd C. McKenney & John J. Daly d/b as Carthage Broadcasting Company, Fort Scott, Kansas, Docket No. 10945, File No. BP-8948; for construction permit.

Notice is hereby given to the above-named applicant and to William R. Tedrick, licensee of Station KWRT, Boonville, Missouri, that, pursuant to § 1.813 of the Commission's rules, a prehearing conference will be held at Washington, D. C., beginning at 10:00 a. m., Thursday, April 1, 1954, in regard to the above-entitled proceeding for the purpose of considering: The procedure to be followed in the hearing; the necessity or desirability of simplification, clarification, amplification or limitation of the issues; the possibility of stipulating facts and limiting the number of witnesses; the necessity or desirability of prior mutual exchange of exhibits among the parties; and such other matters as may be deemed helpful in the proceeding.

Dated at Washington, D. C., this 23d day of March 1954.

[SEAL] FEDERAL COMMUNICATIONS COMMISSION,
WILLIAM G. BUTTS,
Hearing Examiner.

[F. R. Doc. 54-2187; Filed, Mar. 26, 1954; 8:49 a. m.]

[Docket No. 10957]

CHECKER CAB & BAGGAGE CO.

ORDER TO SHOW CAUSE

In the matter of Checker Cab & Baggage Company, Houston, Texas, order

to show cause why the license for radiotelephone Station KKB-843 should not be revoked.

There being under consideration the matter of certain alleged violations of the Commission's rules in connection with the operation of Station KKB-843, licensed to Checker Cab & Baggage Company of Houston, Texas;

It appearing, that notice of violations of the Commission's rules in connection with the operation of the station was given the licensee as follows:

Notice dated January 25, 1954, specifying that an inspection of the station on January 18, 1954, indicated non-compliance with § 16.403 and 16.160 (a) and (b) in that the supervisor's car (#104) did not bear the name of the cab company and an appropriate number in the same type of printing as used on the cabs and the station records did not contain the required information concerning technical measurements and maintenance of the equipment.

It further appearing, that, despite further notice calling attention to the foregoing notice of violations and the failure to reply thereto in accordance with § 16.159 of the Commission's rules, no explanation or other response has been received from the licensee:

It is ordered, This 17th day of March 1954, pursuant to the provisions of section 312 (c) of the Communications Act of 1934, as amended, that the said Checker Cab & Baggage Company of Houston, Texas, show cause why the aforementioned license should not be revoked and appear and give evidence in respect thereto at a hearing [1] to be held before this Commission at Washington, D. C., on the 17th day of May, 1954;

It is further ordered, That the Secretary send a copy of this Order by Registered Mail—Return Receipt Requested to the said Checker Cab and Baggage Company, P. O. Box 18104, Houston, Texas.

Released: March 19, 1954.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 54-2188; Filed, Mar. 26, 1954; 8:50 a. m.]

[1] Section 1.402 of the Commission's rules provides that in order to have the opportunity to appear before the Commission at the time and place specified in the order to show cause, the licensee shall within thirty (30) days from the date of the receipt of this order submit a written statement informing the Commission whether said licensee will appear at this hearing and present evidence upon the matter specified, or whether the rights to such a hearing are waived. Waiver of the hearing may be accompanied by a statement setting forth the reasons why the licensee believes that an order of revocation should not be issued. A waiver unaccompanied by such a statement will be deemed to be an admission of the allegations specified in the order to show cause. Failure to respond to this order within the above-mentioned thirty (30) day period or failure to appear at the hearing will be deemed to be a waiver of the right to a hearing and an admission of the allegations specified in the order to show cause.

[Docket No. 10958]

YELLOW CAB & TRANSFER CORP.

ORDER TO SHOW CAUSE

In the matter of Yellow Cab & Transfer Corporation, Houston, Texas, order to show cause why the license for Radiotelephone Station KKA 981 should not be revoked.

There being under consideration the matter of certain alleged violations of the Commission's rules in connection with the operation of Station KKA 981 licensed to Yellow Cab & Transfer Corporation of Houston, Texas.

It appearing, that notice of violation of the Commission's rules in connection with the operation of the station was given the licensee as follows:

Notice dated January 25, 1954, specifying that an inspection of the station on January 18, 1954, indicated non-compliance with § 16.160 (a) and (b) in that the station records did not contain the required information concerning technical measurements and maintenance of the equipment;

It further appearing, that, despite further notice calling attention to the foregoing notice of violations and the failure to reply thereto in accordance with § 16.159 of the Commission's rules, no explanation or other response has been received from the licensee;

It is ordered, This 17th day of March 1954, pursuant to the provisions of section 312 (c) of the Communications Act of 1934, as amended, that the said Yellow Cab & Transfer Corporation of Houston, Texas, show cause why the aforementioned license should not be revoked and appear and give evidence in respect thereto at a hearing [1] to be held before this Commission at Washington, D. C., on the 17th day of May 1954;

It is further ordered, That the Secretary send a copy of this order by Registered Mail—Return Receipt Requested to the said Yellow Cab & Transfer Corporation, P. O. Box 18104, Houston, Texas.

Released: March 19, 1954.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] MARY JANE MORRIS,
Secretary.

[F. R. Doc. 54-2189; Filed, Mar. 26, 1954; 8:50 a. m.]

DEPARTMENT OF COMMERCE

Federal Maritime Board

WATERMAN STEAMSHIP CORP. ET AL.

NOTICE OF AGREEMENTS FILED FOR APPROVAL

Notice is hereby given that the following described agreements have been filed with the Board for approval pursuant to section 15 of the Shipping Act, 1916, as amended; 39 Stat. 733, 46 U. S. C. Section 814.

(1) Agreement No. 7956, between Waterman Steamship Corporation and Black Diamond Steamship Corporation, covers the transportation of canned pineapple and pineapple juice under through bills of lading from the Hawaiian Islands to ports in the Netherlands, Belgium, and Germany, with transshipment at New York.

(2) Agreement No. 7967 between American President Lines, Ltd., and Alcoa Steamship Company, Inc., covers the transportation of general cargo under through bills of lading from Japan, China (including Hong Kong), India, Federation of Malaya, Colony of Singapore, and Indonesia to Puerto Rico with transshipment at New York. Agreement No. 7967 supersedes and cancels Agreement No. 7934.

Interested parties may inspect these agreements and obtain copies thereof at the Regulation Office, Federal Maritime Board, Washington, D. C., and may submit, within 20 days after publication of this notice in the FEDERAL REGISTER, written statements with reference to either of the agreements and their position as to approval, disapproval, or modification, together with request for hearing should such hearing be desired.

By order of the Federal Maritime Board.

Dated: March 23, 1954.

[SEAL] GEO. A. VIEHMANN,
Assistant Secretary.

[F. R. Doc. 54-2176; Filed, Mar. 26, 1954; 8:48 a. m.]

FEDERAL DEPOSIT INSURANCE CORPORATION

DESCRIPTION OF ORGANIZATION

The Description of Organization (formerly contained in 12 CFR Part 302) has been amended to read as follows:

Sec.
1. Central organization.
2. Field organization.
3. Delegations of final authority.

SECTION 1. *Central organization*—(a) *Board of Directors.* (1) The Federal Deposit Insurance Act (64 Stat. 873; 12 U. S. C. 1811-1831) vests the management of the Federal Deposit Insurance Corporation (hereinafter referred to as the Corporation) in a Board of Directors consisting of three members. Two members are appointed by the President, by and with the advice and consent of the Senate for terms of six years. The Comptroller of the Currency is the other member by virtue of his office. One of the appointive members, designated by the Board of Directors, acts as its Chairman and presides at all its meetings. The Acting Comptroller of the Currency is a member of, the Board in the place and stead of the Comptroller in the event of a vacancy in the office of the Comptroller, and pending the appointment of his successor, or during his absence from Washington, D. C. In the event of a vacancy in the office of the Chairman, and pending the appointment of his successor, the Comptroller of the Currency acts as Chairman. The Board of Directors is responsible for the performance of all duties and exercises all powers vested by law in the Corporation. The Board of Directors has assigned certain functions to the several officers, committees, and Divisions of the Corporation for the performance of which they are responsible to the Board.

(2) The principal office of the Corporation, and the offices of the members of the Board and of the Secretary of the Corporation, are located in the National Press Building, Fourteenth and F Streets NW., Washington 25, D. C.

(b) *Secretary.* The Secretary of the Corporation is the chief recording and custodial officer of the Board of Directors and of the Corporation, has legal custody of the seal of the Corporation, and is responsible for the maintenance and custody of the minutes and other official records of the Board, and, except as otherwise directed by the Board, the furnishing of notice of matters acted upon by the Board, the certification and ensealing of all resolutions, papers, and documents requiring certification on behalf of the Corporation or the affixation of its corporate seal, the issuance of certificates of membership, or duplicates thereof, to insured banks.

(c) *Committees.* (1) *Board of Review.* A Board of Review, consisting of a member of the Board of Directors and such staff members of the Corporation as are thereto appointed by the Board of Directors, has been established to consider recommendations from the Division of Examination relative to applications from banks for deposit insurance; for consent by the Corporation to retirement or reduction of capital, change of location of main office, establishment, operation, or change of location of branches, conversions into, mergers or consolidations with, or assumptions of deposit liabilities of, another bank or institution, transfers of assets to a noninsured bank or institution, extensions by State nonmember insured banks (except District banks) of corporate or charter powers, and to the service of bank directors, officers and employees convicted of certain offenses, and other similar requests; to consider recommendations to terminate the insured status of a bank, and to recommend to the Board of Directors the action to be taken thereon.

(2) *Committee on Liquidations, Loans, and Purchases of Assets.* A Committee on Liquidations, Loans, and Purchases of Assets, consisting of a member of the Board of Directors and such staff members of the Corporation as are thereto appointed by the Board, has been established to consider recommendations from the Division of Examination relative to applications by insured banks for financial assistance by means of loans to, or purchases of assets from, or deposits by the Corporation in insured banks, and recommendations from the Division of Liquidation relative to payment of insured deposits and liquidation activities, and to recommend to the Board of Directors the action to be taken thereon.

(3) *Special Committee.* A Special Committee, consisting of a member of the Board of Directors and such staff members of the Corporation as are thereto appointed by the Board, has been established to consider recommendations from the Legal Division with respect to legal matters requiring action of the Board, including applications for exemption from the advertising regulations of the Corporation, compromises or settlements of litigation in which the Corporation has an interest, claims by or against the Corporation which are not in connection with matters considered by the Committee on Liquidations, Loans, and Purchases of Assets, fixing of fees of attorneys retained by the Corporation; and to consider administrative procedure, rules, regulations, and forms of the Corporation, proposed changes in laws and regulations on assessment matters, instructions on preparation of certified statements and payment of assessments and problems of field audit of certified statements; and to consider recommendations from the several Divisions of the Corporation which are referred to it with respect to matters requiring Board action, except as otherwise prescribed by these rules; and to recommend to the Board of Directors the action to be taken thereon.

(d) *Divisions*—(1) *Division of Examination.* The Division of Examination, headed by a Chief, is responsible for the examination of insured State nonmember banks, State nonmember banks applying to become insured banks, closed insured banks, and for the special examination of other insured banks; reviews reports of such examinations as well as reports of examinations made by the office of the Comptroller of the Currency, in the case of national and District banks, and by the Federal Reserve banks, in the case of State member banks; advises, assists, and makes recommendations to, the Board of Directors with respect to any supervisory action pertaining to insured banks, including termination of insured status, applications for deposit insurance from noninsured State banks, proposed new State nonmember banks, and State member banks applying to be insured as State nonmember banks; applications for consent to the retirement or reduction of capital by State nonmember insured banks (except District banks),[1] the establishment and operation of branches by State nonmember insured banks (except District banks), the change of location of the main office, or any branch, by State nonmember insured banks, the extension by State nonmember insured banks (except District banks) of corporate or charter powers, the service of bank directors, officers and employees convicted of certain offenses, and the merger or consolidation with, or assumption of deposit liabilities of, another bank or institution and the transfer of assets to a noninsured bank or institution.

(2) *Office of the Controller.* The Office of the Controller, headed by a Controller, who is the chief financial, fiscal, and accounting officer of the Corporation, is responsible for the maintenance and custody of all accounting records, for prescribing accounting methods and procedures, for the custody, safekeeping, receipt, deposit, and disbursement of all funds of the Corporation and accountability therefor, for the custody of all assets other than those within the responsibility of the Chief of the Division of Liquidation, for supervision over and responsibility for the administration of assessment laws and regulations and for the supervision and direction of all personnel, budget, and services and supply functions of the Corporation.

(i) *Accounting and Budget Branch.* The Accounting and Budget Branch, headed by a Deputy Controller, is responsible for maintaining accounting records and developing accounting methods and procedures, for the collection and disbursement of funds and custody of assets, and for the preparation and administration of the Corporation's budget.

(ii) *Assessment Branch.* The Assessment Branch, headed by a Fiscal Agent, is responsible for the administration of assessment laws and regulations, for the receipt and desk audit of certified statements from insured banks certifying the amount of assessment due, for the collection of unpaid assessments and application of assessment credits, for review of field assessment audit reports and for the adjustment of assessment errors.

(iii) *Personnel Branch.* The Personnel Branch, headed by a Director of Personnel, supervises and advises with respect to procedures for personnel matters, including recruitment, appointment, placement, classification, promotion, training, payroll, leave, and retirement and maintains appropriate records pertaining thereto.

(iv) *Service Branch.* The Service Branch, headed by a Director of Services, supervises and advises with respect to the purchase of materials, supplies, and equipment for the central and field offices, and is responsible for general maintenance services for the Corporation.

(3) *Division of Liquidation.* The Division of Liquidation, headed by a Chief, supervises, is responsible for, and advises, assists, and makes recommendations to the Board of Directors with respect to payments to depositors of closed insured banks, the liquidation of national banks and insured State banks for which the Corporation is appointed received, the liquidation of closed insured banks for which the Corporation is not receiver and with respect to loans to, purchases of assets from, or deposits by the Corporation in, open or closed insured banks and the liquidation of assets acquired thereby.

(4) *Legal Division.* The Legal Division, headed by a General Counsel, advises and assists the Board of Directors and the several Divisions of the Corporation with respects to all legal matters concerning the functions, activities, and

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[1] Section 3 of the Federal Deposit Insurance Act provides (18 U. S. C. 1813 (a), (b), (c)):

(a) The term "State bank" means any bank, banking association, trust company, savings bank, or other banking institution which is engaged in the business of receiving deposits, other than trust funds as herein defined, and which is incorporated under the laws of any State, any Territory of the United States, Puerto Rico, or the Virgin Islands, or which is operating under the Code of Law for the District of Columbia (except a national bank), and includes any unincorporated bank the deposits of which are insured on the effective date of this amendment.

(b) * * * the term "State nonmember bank" means any State bank which is not a member of the Federal Reserve System.

(c) The term "District bank" means any State bank operating under the Code of Law for the District of Columbia.

operations of the Corporation, including all litigation, correspondence of a legal character, interpretation of organic law and Federal and State laws applicable to or affecting the Corporation or its activities, and the preparation of rules, regulations, orders, opinions, and documents of a legal character.

(5) *Division of Research and Statistics.* The Division of Research and Statistics, headed by a Chief, provides economic counsel to the Board of Directors. It supervises, is responsible for, and advises and assists the Board of Directors with respect to continuing and special studies pertaining to deposit insurance, banking, finance, and economic matters, preparation of security analyses, collection, compilation, and interpretation of statistical data relating to the condition and operations of banks, and the preparation of the Annual Report of the Corporation to Congress.

(6) *Audit Division.* The Audit Division, headed by a Chief, conducts and is responsible for a continuous administrative audit of all fiscal and accounting activities of the Corporation and evaluation of internal audit and fiscal controls, the preparation of detailed and summary audit reports to the Board of Directors, and audits the books and records of insured banks pertaining to certified statements for assessment purposes.

(e) *Location of divisions.* All of the Divisions of the Corporation are located at the principal office of the Corporation, Fourteenth and F Streets NW., Washington 25, D. C.

SEC. 2. *Field organization*—(a) *District offices.* The United States is divided into twelve (12) Federal Deposit Insurance Districts. The Corporation maintains an office in each of such Districts. Each District office is headed by a Supervising Examiner who is appointed by the Board of Directors and functions under the supervision of the Chief of the Division of Examination. Each Supervising Examiner is assisted by a staff of examiners, assistant examiners, and clerical and stenographic employes. The Supervising Examiner supervises the examination by the Corporation of insured banks located within the States and Territories comprising the District, makes recommendations to the Chief of the Division of Examination with respect to applications from banks (or proposed banks) for deposit insurance, for consent to capital reduction or retirement, change of location of main office, establishment and operation or change of location of branches, extensions of corporate or charter powers, and mergers of insured with noninsured banks or institutions; and with respect to the termination of insured status of banks and other supervisory matters; and acts as the Corporation's representative in dealing directly with insured banks and State bank supervisory authorities in his District regarding bank supervisory matters. The location of the District offices and the States and Territories comprising each District are as follows:

District No., Address, Area in District

1, Room 1365, No. 10 Post Office Square, Boston 9, Mass., Connecticut, Maine, Massachusetts, New Hampshire, Rhode Island, Vermont.

2, Room 1900, 14 Wall Street, New York 5, N. Y., Delaware, New Jersey, New York, Puerto Rico, Virgin Islands.

3, City National Bank Building, 20 East Broad Street, Columbus 15, Ohio, Ohio, Pennsylvania.

4, 200 The Bank of Virginia Building, Fourth and Grace Streets, Richmond 19, Va., District of Columbia, Maryland, North Carolina, South Carolina, Virginia, West Virginia.

5, Fifth Floor, 114 Marietta Street, NW., Atlanta 3, Ga., Alabama, Florida, Georgia, Mississippi.

6, 1059 Arcade Building, St. Louis 1, Mo., Arkansas, Kentucky, Missouri, Tennessee.

7, 716 Tenney Building, Madison 3, Wis., Indiana, Michigan, Wisconsin.

8, 164 West Jackson Boulevard, Chicago 4, Ill., Illinois, Iowa.

9, 1200 Minnesota Building, St. Paul 1, Minn., Minnesota, Montana, North Dakota, South Dakota.

10, 1201 Federal Reserve Bank, Building, Kansas City 6, Mo., Colorado, Kansas, Nebraska, Oklahoma, Wyoming.

11, Station K, Dallas 13, Tex., Arizona, Louisiana, New Mexico, Texas.

12, 315 Montgomery Street, Suite 1120, San Francisco 4, Calif., Alaska, California, Hawaii, Idaho, Nevada, Oregon, Utah, Washington.

(b) *Agents for service of process.* The Board of Directors, in accordance with the provisions of section 9 Fourth of the Federal Deposit Insurance Act (12 U. S. C. 1819) has designated an agent upon whom service of process may be made in each State, Territory, and other jurisdiction in which an insured bank is located. Persons desiring to serve process upon the Corporation in any jurisdiction may obtain the name and address of the proper agent by communicating with the Secretary of State or corresponding official in such jurisdiction, the Supervising Examiner for the District including such jurisdiction, or the General Counsel of the Corporation at Washington, D. C.

(c) *Liquidators.* The Corporation appoints a Liquidator for each receivership of an insured national bank or District bank or insured State bank for which the Corporation is appointed receiver, as well as for the liquidation of the assets acquired by the Corporation pursuant to a loan or purchase of assets. Under the control of the Board of Directors, and subject to the supervision of the Chief of the Division of Liquidation, a Liquidator is the official representative of the Corporation with respect to the receivership or liquidation entrusted to his charge, and, in general, is the supervisor immediately in charge of the liquidation or receivership on behalf of the Corporation. Local field offices are ordinarily maintained by such Liquidators with respect to such receiverships and liquidations and located in the community in which the closed insured bank was engaged in business. Persons desiring to communicate or transact business with any such Liquidator may obtain his name and address by communicating with the Chief of the Division of Liquidation.

(d) *Claim agents.* Pursuant to the provisions of subsection (b) of section 10 of the Federal Deposit Insurance Act (12 U. S. C. 1820 (b)), the Corporation appoints one or more Claim Agents for each insured bank which shall have been closed under circumstances requiring the Corporation, in accordance with applicable law, to make payment of the insured deposits therein. Under the control of the Board of Directors, and subject to the supervision of the Chief of the Division of Liquidation, the Claim Agent exercises the powers prescribed by law and is the official representative of the Corporation with respect to the payment of insured deposits in such closed bank and, in general, supervises the payoff of the insured depositors on behalf of the Corporation. Local field offices, as authorized by the Board of Directors, are maintained by such Claim Agents with respect to each such payoff and ordinarily are located at the site of the closed insured bank until the payoff has been fully or substantially completed. Persons desiring to communicate or transact business with any such Claim Agent may obtain his name and address by communicating with the Chief of the Division of Liquidation.

SEC. 3. *Delegations of final authority.* Except as otherwise provided by rule, or with respect to matters which generally involve conditions or circumstances requiring prompt action in the field for the better protection of the interests of the Corporation and to achieve flexibility and expedition in its operations and in the exercise of its functions, such as arise in connection with the Corporaton's litigation and liquidation matters and with the payment of claims for insured deposits, the Board of Directors does not delegate its authority and no delegations of final authority within the statutory meaning of that phrase are made by the Board of Directors. Any person having a proper and direct concern therein may ascertain the scope of authority of any officer, agent, or employe of the Corporation by communicating with the Secretary of the Corporation.

FEDERAL DEPOSIT INSURANCE CORPORATION,
[SEAL] E. F. DOWNEY,
Secretary.

MARCH 23, 1954.

[F. R. Doc. 54-2182; Filed, Mar. 26, 1954; 8:48 a. m.]

SECURITIES AND EXCHANGE COMMISSION

[File No. 30-82]

WEST PENN RAILWAYS CO.

ORDER DECLARING THAT APPLICANT HAS CEASED TO BE A HOLDING COMPANY

MARCH 23, 1954.

West Penn Railways Company ("Railways"), a registered holding company, having filed an application under section 5 (d) of the Public Utility Holding Company Act of 1935 ("act"), requesting the Commission to declare by order that Railways has ceased to be a holding company;

It appearing that Railways registered as a holding company under section 5 of the act by filing its Notification of Registration on Form U5A, dated March 2, 1937, and that at the time of such registration, Railways owned 866,000 shares of common stock of West Penn Power Company, a public utility company, such shares constituting 31.207 percent of the outstanding voting securities of West Penn Power Company;

It further appearing that pursuant to a plan under section 11 (e) of the act, approved by order of the Commission dated July 28, 1949, and enforced by an order of the United States District Court for the Southern District of New York dated August 23, 1949, Railways was reorganized and, on August 25, 1949, distributed to its parent, The West Penn Electric Company, certain of its assets including said 866,000 shares of the outstanding common stock of West Penn Power Company and that Railways does not now, directly or indirectly, own, control, or hold with power to vote any outstanding voting securities of a public-utility company or of a company which is a holding company;

The Commission finding that Railways has ceased to be a holding company and that the registration of Railways as a holding company shall cease to be in effect:

It is therefore ordered, Pursuant to the provisions of section 5 (d) of the act, that Railways has ceased to be a holding company and that the registration of Railways as a holding company shall cease to be in effect.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 54-2167; Filed, Mar. 26, 1954; 8:47 a. m.]

[File No. 70-3194]

POTOMAC EDISON CO. ET AL.

ORDER GRANTING APPLICATION AND PERMITTING DECLARATION TO BECOME EFFECTIVE FOR ISSUE AND SALE OF COMMON STOCK BY SUBSIDIARIES AND ACQUISITION THEREOF BY PARENT

MARCH 23, 1954.

In the matter of The Potomac Edison Company, Northern Virginia Power Company, Potomac Light and Power Company; File No. 70-3194. The Potomac Edison Company ("Potomac Edison"), a registered holding company and a Maryland corporation, and its public-utility subsidiaries, Northern Virginia Power Company, ("Northern Virginia"), a Virginia corporation, and Potomac Light and Power Company ("Potomac Light"), a West Virginia corporation, having filed a joint application-declaration and amendments thereto, pursuant to sections 6, 7, 9, 10, and 12 of the Public Utility Holding Company Act of 1935 ("act") and Rules U-43, U-44 and U-50 (a) (3) and (a) (4) promulgated thereunder with respect to the following proposed transactions:

Northern Virginia proposes to issue and sell for cash, 7,515 shares of its unissued common stock, of the par value of $100 per share, to Potomac Edison at a price equal to the par value thereof, or a total consideration of $751,500.

Potomac Light proposes to issue and sell for cash 6,900 shares of its unissued common stock, of the par value of $100 per share, to Potomac Edison at a price equal to the par value thereof, or a total consideration of $690,000.

Potomac Edison proposes to acquire and purchase the additional shares of common stock proposed to be issued and sold by Northern Virginia and Potomac Light for a cash consideration equal to the aggregate par value of said common stocks.

Northern Virginia and Potomac Light each proposes to use the proceeds derived from the sale of such additional shares of common stocks for the payment, in part, of the cost of construction of property additions during 1954. Such expenditures are estimated in the amount of $1,280,400 for Northern Virginia and in the amount of $1,159,800 for Potomac Light.

Northern Virginia and Potomac Light will issue the shares of common stock from time to time prior to December 31, 1954. On acquisition by Potomac Edison such shares will be pledged as collateral security for Potomac Edison's First Mortgage and Collateral Trust Bonds, in accordance with the terms of the Indenture, dated October 1, 1944, as supplemented, between Potomac Edison and Chemical Bank & Trust Company (New York) as Trustee.

No fees or commissions are to be paid in connection with the proposed transactions. The expenses, consisting chiefly of United States documentary tax stamps, are estimated in the amount of $2,250.

The Public Service Commission of Maryland and the Public Service Commission of West Virginia, which have jurisdiction over the proposed acquisition by Potomac Edison of the common stocks of Northern Virginia and Potomac Light have each issued orders authorizing the proposed acquisition and the State Corporation Commission of Virginia, which has jurisdiction over the proposed issuance and sale of common stock by Northern Virginia, has issued an order authorizing the proposed issuance and sale of common stock by that company.

Applicants-declarants having requested that the Commission's order herein issue pursuant to Rule U-23 and that said order become effective upon issuance; and

Due notice having been given of the filing of said joint application-declaration, and a hearing not having been requested of or ordered by the Commission; and the Commission finding that the applicable provisions of the act and rules promulgated thereunder are satisfied and that no adverse findings are necessary, and that the expenses, as estimated, are not unreasonable; and the Commission deeming it appropriate in the public interest and in the interest of investors and consumers that said application-declaration, as amended, should be granted and permitted to become effective forthwith:

It is ordered, Pursuant to Rule U-23 and the applicable provisions of the act, that said application-declaration as amended be, and it hereby is, granted and permitted to become effective, subject to the terms and conditions prescribed in Rule U-24.

It is further ordered, That this order shall become effective upon its issuance.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 54-2168; Filed, Mar. 26, 1954; 8:47 a. m.]

[File No. 70-3205]

NEW ENGLAND GAS AND ELECTRIC ASSN.

ORDER AUTHORIZING PROPOSED AMENDMENT OF DECLARATION OF TRUST, AND SOLICITATION OF SHAREHOLDERS IN CONNECTION THEREWITH

MARCH 23, 1954.

New England Gas and Electric Association ("Association"), a registered holding company, having filed with this Commission a declaration and an amendment thereto pursuant to sections 6 (a), 7, and 12 (e) of the Public Utility Holding Company Act of 1935 ("act") and Rule U-62 thereunder, with respect to the following proposed transactions:

The management of the Association proposes that the first and last paragraphs of section 22 of the Association's Declaration of Trust be amended as follows:

Proposal No. 1. The proposed amendment of the first paragraph of section 22 would expand and clarify the power of the Trustees of the Association to issue authorized but unissued common shares without further vote of the preferred and common shares. In addition to the clarification of existing powers, the amendment would permit the investment of proceeds of the sale of Association common shares in debt securities, as well as in stock, of subsidiaries including Algonquin Gas Transmission Company.

The amendment would also permit the exchange of Association common shares for publicly held stock of any subsidiary of the Association, or for stock of any Massachusetts gas or electric company if as a result of such exchange the Association will own 51 percent or more of such stock.

In the opinion of Association's counsel, this amendment requires the consent of a majority of the outstanding common shares, and of a majority of the outstanding preferred shares, of the Association.

Proposal No. 2. The proposed amendment of the last paragraph of section 22 would amend the preemptive rights provision insofar as fractional shares are concerned. Under the proposed amendment the Trustees would have express power to eliminate subscription rights for fractional shares, provided each such holder is given (a) the cash equivalent of the fractional interests to which he would otherwise be entitled, or (b) sufficient subscription rights to enable said holder to subscribe for one whole share.

In the opinion of Association's counsel, this amendment requires the consent of two-thirds of the outstanding common shares, and of a majority of the outstanding preferred shares, of the Association.

The management further proposes to submit these amendments to the shareholders of the Association at the annual meeting to be held on May 4, 1954, and to solicit proxies in favor of said amendments. On or about April 3, 1954, the Association will mail Notice of Annual Meeting of Shareholders, Proxy Statement, and Proxy to shareholders of record on March 30, 1954. Expenses of solicitation will be borne by the Association. It is estimated that expenditures other than ordinary expenditures in connection with preparing, assembling and mailing proxies and proxy statements will not exceed $1,000.

The Association has requested that this order be permitted to become effective forthwith.

Due notice having been given of the filing of said declaration, and a hearing not having been requested of or ordered by the Commission; and the Commission finding that the applicable provisions of the act and rules promulgated thereunder are satisfied, and that no adverse findings are necessary; and deeming it appropriate in the public interest and in the interest of investors and consumers that said declaration as amended should be permitted to become effective forthwith:

It is ordered, Pursuant to Rule U-23 and the applicable provisions of the act, that said declaration as amended be, and it hereby is, permitted to become effective forthwith, subject to the terms and conditions prescribed in Rule U-24.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 54-2169; Filed, Mar. 26, 1954; 8:47 a. m.]

SMALL BUSINESS ADMINISTRATION

[S. B. A. Pool Request No. 8]

REQUEST TO ALLIED CONSTRUCTION CONTRACTORS TO OPERATE AS SMALL BUSINESS PRODUCTION POOL AND REQUEST TO CERTAIN COMPANIES TO PARTICIPATE IN OPERATIONS OF SUCH POOL

Pursuant to section 217 of the Small Business Act of 1953, the request to Allied Construction Contractors to operate as a small business production pool and the request to the companies hereinafter listed to participate in the operations of such pool, set forth below, were approved by the Attorney General after consultations with respect thereto between the Attorney General, the Chairman of the Federal Trade Commission, and the Administrator of the Small Business Administration. The voluntary program, in accordance with which the pool shall operate, has been approved by the Administrator of the Small Business Administration and found to be in the public interest as contributing to the national defense.

REQUEST TO ALLIED CONSTRUCTION CONTRACTORS

I hereby approve your proposed voluntary program to operate as a small business production pool and find it to be in the public interest as contributing to the national defense.

In my opinion, the operations of your organization as a small business production pool will assist in the accomplishment of our national defense program.

Therefore, in accordance with the provisions of Section 217 of the Small Business Act of 1953, you are requested to operate as such a pool in the manner set forth in the approved voluntary program. While no obligation is imposed upon you by virtue of this request, to operate as such a pool or to seek or obtain any Government contracts, if you wish to commence operations as a small business production pool you may do so upon notifying me in writing of your acceptance of this request. Immunity from prosecution under the Federal antitrust laws and the Federal Trade Commission Act will be given upon such acceptance, provided that such operations are within the limits set forth in the approved voluntary program.

The Attorney General has approved this request after consultations with respect thereto among his representatives, representatives of the Chairman of the Federal Trade Commission and my representatives, pursuant to section 217 of the Small Business Act of 1953.

Sincerely yours,

WENDELL B. BARNES, *Administrator.*

REQUEST TO COMPANIES

The voluntary program of Allied Construction Contractors to operate as a small business production pool has been found to be in the public interest as contributing to the national defense and has therefore been approved.

Inasmuch as your concern is included among the prospective members of the pool, in my opinion your participation in its operations will assist in the accomplishment of our national defense program. Therefore, in accordance with the provisions of section 217 of the Small Business Act of 1953, you are requested to participate in the operations of the pool in the manner set forth in its voluntary program.

While no obligation is imposed upon you, by virtue of this request, to participate in the operations of this pool, if you wish to participate you may do so by notifying me in writing of your acceptance of this request. Immunity from prosecution under the Federal antitrust laws and the Federal Trade Commission Act will be given upon such acceptance, provided that such operations are within the limits set forth in the approved voluntary program.

The Attorney General has approved this request after consultations with respect thereto among his representatives, representatives of the Chairman of the Federal Trade Commission and my representatives, pursuant to section 217 of the Small Business Act of 1953.

Sincerely yours,

WENDELL B. BARNES, *Administrator.*

Allied Construction Contractors accepted the request set forth above to operate as a small business production pool.

LIST OF COMPANIES ACCEPTING REQUEST TO PARTICIPATE

Blackhawk Contractors, Inc., P. O. Box 13, Hampton, Ill.

Jolerich Construction Co., 105 Earl Avenue, Joliet, Ill.

Klise Construction, 1719½ State Street, Bettendorf, Iowa.

Fred Meyers, Jr., 1651 Elgin Avenue, Joliet, Ill.

Rose Overbey, d/b/a Waterproof Co., 14 North Chicago Street, Joliet, Ill.

Tri-County Quarries, 610 North Adams Street, Polo, Ill.

(Sec. 217 of Pub. Law 163, 83d Cong.; sec. 708, 64 Stat. 818; 50 U. S. C. App. 2158; E. O. 10493, October 16, 1953, 18 F. R. 6583)

Dated: March 23, 1954.

WENDELL B. BARNES, *Administrator.*

[F. R. Doc. 54-2164; Filed, Mar. 26, 1954; 8:46 a. m.]

INTERSTATE COMMERCE COMMISSION

[4th Sec. Application 29032]

TOBACCO FROM MADISON, IND., TO VIRGINIA

APPLICATION FOR RELIEF

MARCH 23, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: H. R. Hinsch, Alternate Agent, for carriers parties to his tariff I. C. C. No. 4542, pursuant to fourth-section order No. 17220.

Commodities involved: Tobacco, unmanufactured, leaf or scrap, including cuttings, carloads.

From: Madison, Ind.

To: Farmville, Lynchburg, Norfolk, Petersburg, Pinners Point, Portsmouth, and Richmond, Va.

Grounds for relief: Competition with rail carriers and circuitous routes.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2140; Filed, Mar. 25, 1954; 8:50 a. m.]

[4th Sec. Application 29036]

PETROLEUM PRODUCTS FROM ARCADIA, LA., TO TEXAS

APPLICATION FOR RELIEF

MARCH 23, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: F. C. Kratzmeir, Agent, for carriers parties to schedule listed below.

Commodities involved: Petroleum products, carloads.

From: Arcadia, La.

To: Points in Texas.

Grounds for relief: Rail competition, circuity, to maintain grouping and additional origin.

Schedules filed containing proposed rates: F. C. Kratzmeir, Agent, I. C. C. No. 3821, supp. 137.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2144; Filed, Mar. 25, 1954; 8:51 a. m.]

[4th Sec. Application 29038]

SODA ASH FROM MICHIGAN, OHIO, NEW YORK AND VIRGINIA TO JOLIET, ILL.

APPLICATION FOR RELIEF

MARCH 23, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: H. R. Hinsch, Alternate Agent, for carriers parties to his tariff I. C. C. No. 4175.

Commodities involved: Soda ash, in bulk in cars, carloads.

From: Detroit and Wyandotte, Mich., Barberton, Fairport Harbor, Painesville, and Perry, Ohio, Solvay and Syracuse, N. Y., and Saltville, Va.

To: Joliet, Ill.

Grounds for relief: Competition with water carriers and market competition.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2146; Filed, March 25, 1954; 8:52 a. m.]

[4th Sec. Application 29040]

CLAY BETWEEN POINTS IN SOUTHERN TERRITORY

APPLICATION FOR RELIEF

MARCH 23, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: R. E. Boyle, Jr., Agent, for carriers parties to schedule listed below.

Commodities involved: Clay, kaolin or pyrophyllite, carloads.

From: Points in Georgia, North Carolina, South Carolina, Alabama, and Florida.

To: Summerdale, Ala., Lake Wales, Fla., Dunn, Pine Level, Rocky Mount, and Wilson, N. C.

Grounds for relief: Rail competition, circuity and to maintain grouping.

Schedules filed containing proposed rates: C. A. Spaninger, Agent, I. C. C. No. 1323, supp. 48.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2148; Filed, Mar. 25, 1954; 8:52 a. m.]

[4th Sec. Application 29043]

PHOSPHATE OF SODA FROM CARTERET, N. J., TO FORE RIVER STATION, MASS.

APPLICATION FOR RELIEF

MARCH 24, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: C. W. Boin and Frank Van Ummersen, Agents, for the New York, New Haven and Hartford Railroad Company, and Fore River Railroad Corporation.

Commodities involved: Soda or sodium, viz.: phosphate of, carloads.

From: Carteret, N. J.

To: Fore River Station, Mass.

Grounds for relief: Competition with water carriers.

Schedules filed containing proposed rates: Central Railroad Company of New Jersey tariff I. C. C. No. F-175, supp. 20.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2171; Filed, Mar. 26, 1954; 8:47 a. m.]

[4th Sec. Application 29044]

COAL FROM MINES IN TENNESSEE AND ALABAMA TO KRANNERT, GA.

APPLICATION FOR RELIEF

MARCH 24, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: R. E. Boyle, Jr., Agent, for the Central of Georgia Railway Company, The Nashville, Chattanooga & St. Louis Railway and the Southern Railway Company.

Commodities involved: Coal, run of the mine, and slack coal, all of which has passed through a four-inch screen, carloads.

From: Mines in Tennessee and Alabama.

To: Krannert, Ga.

Grounds for relief: Competition with motor-carriers and market competition.

Schedules filed containing proposed rates: C. A. Spaninger, Agent, I. C. C. No. 1403, supp. 3.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2172; Filed, Mar. 26, 1954; 8:48 a. m.]

[4th Sec. Application 29045]

PLASTER, GYPSUM WALLBOARD, AND RELATED ARTICLES IN ILLINOIS TERRITORY

APPLICATION FOR RELIEF

MARCH 24, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: R. G. Raasch, Agent, for carriers parties to schedule listed below.

Commodities involved: Plaster, and related articles, gypsum wallboard and related articles, carloads.

Between: Points in Illinois territory.

Grounds for relief: Rail competition, circuity, and to apply rates constructed on the basis of the short line distance formula.

Schedules filed containing proposed rates: R. G. Raasch, Agent, I. C. C. No. 808.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2173; Filed, Mar. 26, 1954; 8:48 a. m.]

[4th Sec. Application 29046]

IMPORT SUGAR FROM PORT EVERGLADES, FLA., TO POINTS IN FLORIDA

APPLICATION FOR RELIEF

MARCH 24, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: R. E. Boyle, Jr., Agent, for carriers parties to schedule listed below.

Commodities involved: Sugar, beet or cane, also liquid or invert sugar, carloads.

From: Port Everglades, Fla. (import traffic).

To: Points in Florida.

Grounds for relief: Competition with rail carriers, circuity, and port rate relations.

Schedules filed containing proposed rates: Agent W. P. Emerson, Jr.'s tariff I. C. C. No. 380, supp. 206.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2174; Filed, Mar. 26, 1954; 8:48 a. m.]

[4th Sec. Application 29047]

SUGAR FROM PORT EVERGLADES TO JACKSONVILLE, FLA.

APPLICATION FOR RELIEF

MARCH 24, 1954.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: The Seaboard Air Line Railroad Company.

Commodities involved: Sugar, carloads.

From: Port Everglades, Fla. (import traffic).

To: Jacksonville, Fla.

Grounds for relief: Competition with rail carriers and circuitous routes.

Schedules filed containing proposed rates: W. P. Emerson, Jr., Agent, I. C. C. No. 380, supp. 206.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission.

[SEAL] GEORGE W. LAIRD, *Secretary.*

[F. R. Doc. 54-2175; Filed, Mar. 26, 1954; 8:48 a. m.]